DRAFTING ISSUES MEMORANDUM

PRIVILEGED AND CONFIDENTIAL — ATTORNEY WORK PRODUCT — PREPARED IN ANTICIPATION OF LITIGATION AND FOR THE PURPOSE OF RENDERING LEGAL ADVICE

TO:	**Marcus Prideaux, Senior Vice President — Commercial Real Estate Lending, Calverley Heritage Bank**
FROM:	Catherine A. Ashworth, Partner; Jordan Vickers, Associate — Fielding, Ashworth & Cole LLP
DATE:	April 1, 2025
RE:	Issues memorandum accompanying first draft of Mortgage and Security Agreement — Calverley Heritage Bank / Palmetto Gateway Partners LLC, $14,750,000 loan (Deal Reference CHB CRE Loan No. 2025-CHS-0047); 520–534 King Street, Charleston, South Carolina 29403
ENCLOSURE:	Mortgage and Security Agreement (first draft), 520–534 King Street, Charleston, SC

PART I — EXECUTIVE SUMMARY AND TOP-RISK REGISTER

The enclosed Mortgage and Security Agreement (the "**Draft Mortgage**") is a complete first draft prepared from the executed Term Sheet dated April 1, 2025 (the "**Term Sheet**"), the title commitment, the Phase I ESA executive summary, the redacted operating agreement summary, the rent roll and lease abstracts, the renovation budget and draw schedule, and the appraisal summary. It addresses every collateral, covenant, remedy and exhibit requirement appearing in those documents and resolves the principal drafting instructions in your March 18, 2025 markup notes.

The Draft Mortgage is, in our view, ready for internal review and borrower delivery **subject to the open items in Part VII**. Those items are not stylistic. Three of them bear directly on whether this loan should close in its current structure, and we ask that you address them with the loan committee before the draft is sent to borrower's counsel:

1. The interest-only and DSCR structure cannot be satisfied at any achievable occupancy (Issue E-1). On the numbers in the record, annual debt service after month 24 is approximately $1,124,239 (25-year amortization at 5.85%), and the best-case stabilized NOI in the borrower's own rent roll is $622,772 — a DSCR of approximately **0.55x** against a required 1.25x. Even interest-only, the ratio is 0.72x. To achieve 1.25x on amortizing debt service, NOI would need to be $1,405,299, or $45.33 per square foot on 31,000 square feet, versus market rents of $19.00–$28.00 per square foot. Even if all 31,000 square feet were leased at the rent roll's stabilized rents and the property carried **zero** operating expenses, gross revenue of $755,549 would produce a DSCR of only 0.67x. As currently structured, the DSCR covenant in Section 7.1 of the Term Sheet and Section 16.1(g) of the Draft Mortgage will be breached at the first test date and will generate an Event of Default on the second. Either the loan amount, the amortization, the interest-only period, the DSCR thresholds or the covenant itself must be re-cut, or the covenant must be supported by a debt service reserve,

a cash sweep, an extended interest-shortfall guaranty and a cure mechanism. The Draft Mortgage includes a DSCR cure-deposit mechanism (Section 13.5) and a carve-out structure (Article 18), but those are mitigants, not a substitute for a commercially achievable covenant.

2. The appraisal's income approach does not reconcile to its value conclusions, and the LTV on which the Loan was sized depends on that appraisal (Issue E-2). The appraisal states as-is NOI of approximately $332,000–$345,000 and stabilized NOI of $582,000–$592,000, at selected capitalization rates of 6.25% and 5.85% respectively. Applied to those NOI figures, the stated cap rates imply values of approximately **$5.42 million** and **$10.03 million** — not $18,200,000 and $23,500,000. Equivalently, the stated values imply going-in cap rates of approximately **1.86%** and **2.50%**. The sales-comparison data in the appraisal does support approximately $587 per square foot ($18.2 million), so the inconsistency lies in the income approach or in the rent roll from which the NOI figures were derived. Because as-is LTV of 81.04% already sits at or above customary policy limits (and above the level at which your markup notes observed that "as-is LTV runs a little hot"), we recommend a USPAP Standard 3 appraisal review and a reconciliation of the income approach to the rent roll before closing. We cannot reconcile the appraisal internally, and we have not attempted to substitute our own value conclusion.

3. Sources and uses do not balance once transaction costs are included (Issue E-3). The Term Sheet's Total Project Cost of $20,950,000 comprises only purchase price ($17,800,000) and Renovation Budget ($3,150,000). Total sources at that same figure are the Loan ($14,750,000) plus Borrower equity ($6,200,000). Transaction costs are therefore unfunded: the origination fee ($147,500) and the South Carolina mortgage recording fee ($54,575) alone total $202,075, and adding the $150,000 tenant improvement and leasing commission reserve required at closing takes the identifiable shortfall to **$352,075**, before title premium, survey, appraisal, environmental, legal fees and other closing costs. Because $900,000 of the $6,200,000 equity is earmarked for renovation, only $5,300,000 of equity is available at closing, and $12,500,000 + $5,300,000 equals the purchase price exactly. Borrower must fund additional equity at closing or the closing statement will not balance.

The following register summarizes all identified risks in priority order. Each is developed in Part IV, with the corresponding provision of the Draft Mortgage and the action required.

#	Risk	Record basis	Treatment in Draft Mortgage	Action required
1	DSCR covenant unachievable at any occupancy (0.55x projected vs 1.25x required)	Rent Roll, Vacancy Schedule tab; Term Sheet §7.1, §11.1(i)	§13.1 (definition), §13.5 (cure deposit), §16.1(g)	Loan committee: re-cut loan amount, amortization, IO period or covenant; consider debt service reserve and cash sweep

#	Risk	Record basis	Treatment in Draft Mortgage	Action required
2	Appraisal income approach inconsistent with value conclusions; LTV sizing unsupported on an income basis	Appraisal §§6.2, 6.3, 7	§8.9, §13.1, §20.1(g)	Order USPAP Standard 3 review; reconcile NOI to certified rent roll; document credit approval of 81% as-is LTV
3	Sources/uses shortfall of at least $352,075 at closing	Term Sheet §§3.3, 3.4, 13.1; 0.37% SC recording fee	§20.1(n) (sources and uses statement), §22.9	Require additional equity or reallocate; obtain closing statement from Prestige Title
4	Lowcountry Provisions lease has no assignment, estoppel or SNDA provision; estoppel and SNDA are conditions precedent	Rent Roll, Lease Abstracts tab; Term Sheet §§12.1(j), (k)	§3.5, §9.7, §20.1(l)	Confirm tenant cooperation now; prepare fallback (estoppel plus lender notice letter); document any waiver in writing under §20.3
5	Operating Agreement does not satisfy SPE requirements; no independent manager; no change-of-control provision	OA Summary §§1.4, 3.1, 3.2, 4.1, 4.2, 8.1, 9.1; Term Sheet §§10.1(g), 11.1(j)	Art. 14; §10.2; §20.1(i); Art. 23	Deliver Operating Agreement Amendment executed by all three Members as a condition precedent; obtain Tidewater GP Holdings LLC authority certificate
6	Transfer restriction carve-out for “transfers among existing members” could permit change of control of a 72% managing member	Term Sheet §10.3; OA Summary §§4.1, 4.2(c)	§10.2(b)(iii), §10.2(c)	Loan committee to approve narrowing (Draft Mortgage is narrower than Term Sheet); raise with borrower
7	Interest-shortfall payment guaranty runs only 14 months; DSCR testing begins at month 24	Term Sheet §§5.5(c), 7.1	Art. 18, §19.1	Extend guaranty to stabilization or add debt service reserve
8	SCDHEC land use restriction on Lot 7 (vapor barrier; no residential use)	Title Commitment Exception 4 and Closer Note 1; Phase I §§5.3, 6	Art. 12, §7.9, §16.1(l), §18.2(d), Ex. E	Confirm vapor barrier integrity inspection; confirm renovation scope does not require Bay 1 slab penetration
9	Anson Lane strip conveyed by quitclaim deed only; title company reserves endorsement/premium	Title Commitment, Chain of Title Note 2 and Closer Note 3; Prior Counsel Notes §2	§4.5, §20.1(c), Ex. A, Ex. B	Obtain ALTA 34 (or equivalent) and written confirmation of fee simple insurance before closing
10	No surveyed metes and bounds description in the record; Exhibit A contains a record/plat description	Title Commitment Schedule A §4; Requirement 9; Prior Counsel Notes §2	Ex. A (express drafting note)	Insert Cartwright survey description; survey certified to Lender, title company and Borrower, dated within 90 days
11	Renovation draw schedule exceeds the Renovation Budget by $5,000 and the Borrower equity commitment by $5,000; line-item reallocations	Renovation Budget and Draw Schedule, Budget Detail and Draw Schedule tabs	Ex. C note (4); §7.2(e)	Reconcile draw schedule before closing; treat as planning document only
12	Draw schedule is inconsistent with 10% retainage; cumulative draws exceed the 90% ceiling	Term Sheet §8.4; Renovation Budget and Draw Schedule	§7.3 (retainage; express statement of ceiling)	Borrower must fund ~$225,000 more during construction than the schedule shows

#	Risk	Record basis	Treatment in Draft Mortgage	Action required
13	Flood insurance of $5,000,000 required for Zone X property with no federal mandate	Term Sheet §9.3; Phase I §2; Appraisal §2.1	§11.3	Confirm credit/insurance approval and carrier pricing; no federal mandatory purchase requirement applies
14	Registered agent name conflict between Term Sheet and Operating Agreement summary	Term Sheet §1.2; OA Summary §1.3	§9.13(g), §10.6	Confirm current registered agent with South Carolina Secretary of State
15	FEMA panel number/date conflict between Phase I and appraisal	Phase I §2 (45019C0520J, 12/04/2020); Appraisal §2.1 (45019C0418J, 11/04/2014)	§11.3 (panel not identified)	Obtain current flood determination before closing
16	Audited financial statements required by Term Sheet; Operating Agreement provides only reviewed statements	Term Sheet §7.3(a); OA Summary §6.2	§13.3(a), §16.1(b)	Confirm whether Lender will accept reviewed statements for a single-asset SPE, or require the reporting covenant be reflected in the Operating Agreement
17	Net worth/liquidity covenant attributed to Borrower in Term Sheet but to Guarantor in markup notes	Term Sheet §7.2; Prior Counsel Notes §6	§13.2 (Borrower, per Term Sheet)	Confirm intended obligor and, if Guarantor, re-cut thresholds against $28,000,000 stated net worth
18	Yield maintenance mechanics ambiguous in Term Sheet; markup note formula differs from Term Sheet	Term Sheet §4.2; Prior Counsel Notes §5	§§5.8, 5.9	Confirm treatment of the 50 basis point spread and the 1.00% floor
19	Day-count convention, compounding and rate-conversion mechanics not specified	Term Sheet §3.6 (silent)	§5.2(b)–(d)	Confirm actual/360 daily accrual and successor-rate mechanics
20	Title commitment effective February 28, 2025; standard exceptions and gap not yet addressed	Title Commitment, Conditions ¶2, Schedule B-I Reqs. 9–12	§20.1(c), (e), Ex. B	Order date-down and gap indemnity; confirm commitment extension if closing slips past August 28, 2025

PART II — SOURCES REVIEWED AND LIMITATIONS ON THIS DRAFT

We read each document in the transaction file in full. Four of the eight source documents are not the underlying instruments and cannot be treated as a substitute for them; those limitations are material and are reflected in the conditional language of the Draft Mortgage.

Source	Date	What it is	What it establishes	Limitation
Term Sheet — Commercial Real Estate Loan, executed (CHB CRE Loan No. 2025-CHS-0047)	April 1, 2025	Executed, binding commitment between Lender and Borrower; Guarantor acknowledgment	All commercial terms, conditions precedent, covenants, Events of Default, Loan Document list	Contains internal inconsistencies (Part VI); controls over Loan Documents only as to Term Sheet terms, per §14.3
Title Commitment for Title Insurance No. PT-2025-04-1178 (Prestige Title; Commonwealth National Title Underwriters)	Effective February 28, 2025; expires August 28, 2025	Commitment to issue ALTA Loan Policy, $14,750,000	Vesting, legal description, requirements, exceptions, closer notes	Preliminary; not the Policy. Exceptions 4 (LUR) and 5 (encroachment) will remain on the Policy
Phase I ESA — Executive Summary, Report No. CLR-2025-0119 (Clearfield Environmental Consulting LLC)	January 28, 2025	Executive summary only	One CREC (Lot 7), no RECs, no HRECs; NFA letter; LUR obligations; no Phase II recommended; Lender waived Phase II by correspondence dated January 22, 2025	**Not the full report.** Appendices A–F and sampling data not in file; no invasive testing performed
Redacted Summary of Amended and Restated Operating Agreement (Cartwright & Lyons LLP)	Effective January 12, 2024; amended March 1, 2025	Redacted summary prepared by borrower's counsel	Membership, management, transfer restrictions, dissolution, amendment thresholds	**Not the Operating Agreement.** Capital accounts, tax allocations, indemnities, tag/drag mechanics, dispute resolution and all exhibits redacted; March 1, 2025 amendment terms not summarized
Rent Roll and Lease Abstracts (workbook)	Undated; escalations reflected from January 1, 2025	Rent roll, lease abstracts, vacancy schedule and pro forma	Tenant-by-tenant lease terms, escalations, options, ROFR, estoppel/SNDA obligations, projected lease-up	Prepared by borrower; not certified; contains internal inconsistencies (Part V, Part VI)
Renovation Budget and Draw Schedule (workbook)	Undated	Budget detail and 14-draw schedule	Line-item budget, holdback/equity allocation, monthly draws, substantial completion timing	Internal arithmetic inconsistencies (Part V); not certified by Borrower
Appraisal Summary Report PVS-2025-0214-CHS (Pinnacle Valuation Services LLC)	Effective February 14, 2025	Summary appraisal report	As-is $18,200,000; as-stabilized $23,500,000; market data	**Not the complete appraisal.** Income approach does not reconcile to value conclusions (Issue E-2)
Internal memorandum — Markup Notes (Fielding, Ashworth & Cole LLP, C. Ashworth to J. Vickers)	March 18, 2025	Prior counsel drafting instructions	Required drafting positions, risk flags, prior transaction experience	Contains at least four statements inconsistent with the Term Sheet (Part VI)

Documents referenced in the record but not furnished to us. The following are conditions precedent or required Loan Documents, and we drafted against them without having seen them: the Promissory Note; the Guaranty, Completion Guaranty and Payment Guaranty forms; the Environmental Indemnity form; the ALTA/NSPS survey by Cartwright Land Surveying LLC (Plat Book 64, Page 91); the full Phase I report; the full Operating Agreement and the March 1, 2025

amendment; the purchase and sale contract for the Property; the Construction Contract with Beaufort Builders Group LLC; the three Leases and their amendments; Borrower's organizational and authority documents; the legal opinion of Borrower's counsel; insurance binders and certificates; and Lender's credit approval and any exception to underwriting guidelines. Any of these could affect the drafting positions recorded here, and each is listed again in Part VII.

Attribution convention. References to "Term Sheet §" are to sections of the executed Term Sheet; references to "§" without prefix (for example, §10.2 or Article 14) are to sections and articles of the Draft Mortgage. Figures are stated as they appear in the source, with our independent recomputation identified as "recomputed."

PART III — TRANSACTION SUMMARY AS VERIFIED

Every figure below was independently recomputed from the source components rather than adopted from a summary. Discrepancies are noted; the full reconciliation is in Part V.

Term	Source	Stated	Recomputed / verification
Loan amount	Term Sheet §3.1	$14,750,000	Confirmed; equals initial advance $12,500,000 + Renovation Holdback $2,250,000 (§§3.3(a), (b))
Purchase price	Term Sheet §3.2; Appraisal §1	$17,800,000	Confirmed as stated; **underlying purchase contract not in file**
Renovation Budget	Term Sheet §§3.4, 8.2; Ex. B	$3,150,000	Components sum to $3,150,000 (1,200,000 + 475,000 + 625,000 + 550,000 + 300,000)
Total Project Cost	Term Sheet §3.4	$20,950,000	$17,800,000 + $3,150,000 = $20,950,000; **excludes transaction costs** (Issue E-3)
Borrower equity	Term Sheet §3.4	$6,200,000 (29.6%)	29.59% of $20,950,000. Member split 72/18/10 = $4,464,000 / $1,116,000 / $620,000 (OA Summary §2.2)
LTV as-is	Term Sheet §3.5; Appraisal §7	~81% / 81.04%	81.04%. **Above customary 75–80% policy limits** (Issue J-1)
LTV as-stabilized	Term Sheet §3.5; Appraisal §7	62.77%	62.77% arithmetic confirmed; depends on hypothetical stabilized value (Issue E-2)
Loan-to-cost	Term Sheet §3.5	70.41%	70.41% confirmed
Contract sum	Term Sheet §§3.4, 8.1	$2,850,000	Holdback of $2,250,000 is $600,000 below contract sum; Borrower must fund $900,000 of renovation equity (Ex. C)
Interest rate	Term Sheet §§3.6	Daily SOFR + 2.85%; 3.00% SOFR floor	Effective floor rate 5.85%. **Day count, compounding and rate mechanics not specified** (Issue E-6)
Annual interest at floor	—	(rent roll: $863,375)	**$862,875** recomputed; rent roll figure overstated by $500
Monthly P&I after month 24	—	(rent roll: $93,500; ADS $1,122,000)	**$93,686.61** per month; **$1,124,239** per annum (25-year amortization, $14,750,000, 5.85%)
Maturity date	Term Sheet §3.8	April 15, 2030	Five years from April 15, 2025 closing; 60 payment dates from May 15, 2025; confirmed

Term	Source	Stated	Recomputed / verification
Interest-only / lockout / yield maintenance / open periods	Term Sheet §§3.9, 4.1–4.3	Months 1–24; 25–48; 49–60	Boundaries confirmed: April 15, 2027; April 15, 2029; April 16, 2029 – April 15, 2030
Substantial Completion Deadline	Term Sheet §8.3	June 15, 2026	14 months from April 15, 2025; confirmed
Capital replacement reserve	Term Sheet §6.2	$645.83/ month	$0.25 × 31,000 = $7,750 ÷ 12 = $645.83; confirmed
Origination fee	Term Sheet §13.1	$147,500	1.00% of $14,750,000; confirmed
SC mortgage recording fee	Prior Counsel Notes §6	$54,575	0.37% ($3.70 per $1,000) of $14,750,000 = $54,575; confirmed
In-place annual rent	Term Sheet §2.3; Appraisal §3.1; Rent Roll	$415,100	$108,300 + $91,200 + $215,600 = $415,100 as at the stated rents, **but those rents pre-date contractual escalations**; escalated in-place rent at closing is approximately **$422,966** (Issue C-6)
Occupancy	Term Sheet §2.3; Appraisal §§1, 3.1	68% (21,400 SF of 31,000 SF)	**56.13%** — occupied SF is 17,400 (3,800 + 3,800 + 9,800); 21,400 SF is not supported by the rent roll; 43.87% vacant (Issues C-6, E-2)
Weighted average in-place rent	Appraisal §3.1	$19.40/SF	**$23.86/SF** ($415,100 ÷ 17,400 SF); the Appraisal figure results from dividing by the erroneous 21,400 SF
Security deposits held	Rent Roll	$69,183	$18,050 + $15,200 + $35,933 = $69,183; confirmed
Tenant pro rata shares	Rent Roll	12.26% / 31.61%	3,800 ÷ 31,000 = 12.26%; 9,800 ÷ 31,000 = 31.61%; confirmed
DSCR (best-case stabilized)	Rent Roll, Vacancy Schedule	0.555x	**0.554x** recomputed ($622,772 ÷ $1,124,239) (Issue E-1)
DSCR (interest-only)	Rent Roll, Vacancy Schedule	0.72x	**0.722x** recomputed ($622,772 ÷ $862,875)

Property and collateral. Three contiguous parcels (Lots 7, 8 and 9, Hampstead Village Plat, Plat Book 41, Page 218) plus the vacated Anson Lane strip, Charleston County Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009; approximately 0.38 acres (16,553 square feet) of land; approximately 31,000 square feet of gross building area comprising 11,400 square feet of ground-floor retail (three bays of 3,800 square feet) and 19,600 square feet of office (Suites A and B of 9,800 square feet); GB zoning; FEMA Zone X. All figures cross-check.

PART IV — ISSUE ANALYSIS

A. Collateral, title and legal description

A-1. The Anson Lane strip is insured, but it was conveyed by quitclaim deed and the title company reserves its position.

Record basis: Title Commitment, Chain of Title Note 2 and Closer Note 3; Prior Counsel Notes §2.

Analysis: Title to the vacated Anson Lane strip derives from a quitclaim deed from the City of Charleston recorded in Deed Book 1128 at Page 443. The commitment

states that the Company "is satisfied that the City of Charleston held sufficient interest … however, no warranties of title were provided"; that its willingness to insure "should not be construed as a representation that the chain of title for this parcel is equivalent to that of Parcel One"; and that the Company "reserves the right to require an additional premium for extended coverage on this parcel and/or may limit such coverage by endorsement." The strip provides rear access and loading for the building and connects Lots 7 through 9; its loss would impair access and, potentially, the approved site plan. Note that the commitment does **not** except the strip from Schedule B, Part II, so the concern is one of coverage quality rather than exclusion. Your markup notes asked whether an "ALTA 9 or equivalent" endorsement should be requested; the title company's own recommendation is ALTA Endorsement 34 (Identified Exception) or "other affirmative coverage specific to this parcel," which we suggest is the better vehicle.

Draft treatment: §4.5 requires Borrower to represent that fee simple title to the strip is vested and insured without any exception excluding it, describing it as less than fee simple, or qualifying insurability; Borrower must cooperate to obtain endorsements and bear the cost (§22.9). Exhibit B includes the strip within the insured estate and does not carve it out.

Recommendation: Before closing, obtain from Prestige Title written confirmation (i) that the Policy will insure fee simple title to Parcel Two, (ii) of the premium for any extended coverage, and (iii) that an ALTA 34 endorsement (or equivalent) will be issued. If coverage cannot be obtained on acceptable terms, we should revisit the collateral description and consider whether the strip should be excluded from the mortgaged estate — a commercially unattractive result that should be escalated rather than assumed.

A-2. There is no surveyed metes and bounds description in the record, and Exhibit A therefore contains a record description with an express placeholder.

Record basis: Title Commitment Schedule A §4 and Requirement 9; Term Sheet §2.1 ("full legal description shall be confirmed from the title commitment and ALTA/NSPS survey"); Prior Counsel Notes §2.

Analysis: The only descriptions available are the plat-reference description (Plat Book 41, Page 218) and a description of the Anson Lane strip by reference to the Cartwright Land Surveying LLC survey recorded in Plat Book 64 at Page 91. The survey itself is not in the file. We have not drafted metes and bounds; inventing a description would risk recording an instrument that does not match the insured estate.

Draft treatment: Exhibit A sets out the record description and a drafting note stating that the surveyed description is "[TO BE INSERTED]" and will replace the record description before recording.

Recommendation: Obtain the certified ALTA/NSPS survey (2021 Minimum Standard Detail Requirements, Table A items 1, 2, 3, 4, 6(a), 6(b), 8, 9, 11, 13, 14,

16 and 19 per Closer Note 4), certified to Lender, the title company and Borrower, dated or re-certified within 90 days of closing; insert the metes and bounds before execution. The placeholder must be removed before the Mortgage is sent for signature.

A-3. The balcony encroachment requires an endorsement the prior markup notes did not identify, and a permit inquiry.

Record basis: Title Commitment Exception 5 and Closer Note 2; Appraisal §2.1; Renovation Budget line 3.0 (façade restoration "including King Street balcony").

Analysis: A decorative iron balcony extends approximately 2.5 feet over the King Street right-of-way. The Company makes no representation as to any permit, license or encroachment agreement and recommends a survey/encroachment endorsement (ALTA 28.1 or equivalent). ALTA 9 (comprehensive) coverage, referenced in your markup notes, has not included encroachments since the 2006 forms revision; 28.1 is the operative endorsement here, with ALTA 9 retained for covenants, conditions and restrictions. The façade restoration scope expressly includes repair of the balcony, and the appraisal notes that city-mandated removal would require additional façade work beyond the budget.

Draft treatment: §4.4 approves the encroachment as a Permitted Exception, requires Borrower to obtain and maintain any encroachment license or permit and to deliver copies to Lender, and requires city-mandated removal or modification to be completed at Borrower's cost, supported by the Completion Guaranty. Exhibit B item 4 records the approval as without prejudice.

Recommendation: Request ALTA 28.1 and a zoning endorsement; ask Borrower to produce any encroachment permit or license from the City of Charleston. If none exists, document the risk decision — the appraisal treats it as immaterial to value, and we concur that it is unlikely to be a loan-level issue, but the lender should not be the last party to learn that the City requires removal.

A-4. Standard exceptions and the gap are open, and the commitment will need a date-down before the initial advance.

Record basis: Title Commitment Schedule B, Part II, Exception 1(a)–(e), Requirements 9–12; Term Sheet §5.6.

Analysis: Exceptions 1(b) through 1(e) are to be deleted upon delivery of a satisfactory survey and owner's affidavit; Exception 1(a) is a gap exception requiring a gap indemnity or closing-date disbursement. The commitment is effective February 28, 2025 and expires August 28, 2025 — within the Term Sheet's outside closing date of May 15, 2025, but not if closing slips.

Draft treatment: Exhibit B states expressly that the standard exceptions are **not** approved as Permitted Exceptions; §20.1(c) and (e) condition the initial advance on the Policy (or pro forma) and on the gap indemnity and affidavits.

Recommendation: Confirm with Prestige Title the closing mechanics (gap indemnity, disbursement, recording order) and calendar the commitment expiration.

A-5. The utility easement is described inconsistently as to location.

Record basis: Title Commitment Exception 3 (easement "affects the westerly boundary of Lot 9"); Phase I §2 (easement "across the rear of the Subject Property"); Phase I §3 identifies the strip as along the rear (northwest) boundary.

Analysis: These may be reconcilable if the rear boundary of the assemblage meets the westerly boundary of Lot 9, but the record does not demonstrate that. The discrepancy is not presently material, but a survey-based confirmation should be obtained so that the insured description and the survey agree.

Draft treatment: §4.4 and Exhibit B item 2 describe the easement by record reference only, without asserting a location.

Recommendation: Have the surveyor depict the easement and confirm its location in the survey certification; if the Phase I description is wrong, correct the internal file note so the diligence record is consistent.

A-6. The Renovation Holdback is an obligatory future advance and the Mortgage must say so to preserve priority.

Record basis: Term Sheet §§3.3(b), 5.6 (future advance endorsements), 8.4; Title Commitment Requirement 3 (mortgage "in the principal amount of $14,750,000.00").

Analysis: The Holdback is a contractual obligation of Lender, disbursed over 14 months. If the Mortgage did not secure obligatory future advances with the same priority, a later advance could be subordinated to intervening liens — including mechanics' liens, which are a live risk in a renovation.

Draft treatment: §2.5 states that all advances, including Holdback advances and protective advances under §9.14, are secured with the same priority as the initial advance; the recorded principal amount is stated as $14,750,000 plus interest, costs and other amounts. §20.2 conditions each Holdback advance on a current date-down endorsement.

Recommendation: Confirm that the Title Policy will include a future advance endorsement covering the Holdback (Term Sheet §5.6 requires it) and that the recording fee is computed on $14,750,000 (see §22.9 and Part V).

B. Environmental — the Controlled Recognized Environmental Condition and the land use restriction

B-1. The land use restriction is the single most document-intensive environmental item in this deal, and it is not a standard template covenant.

Record basis: Title Commitment Exception 4 and Closer Note 1; Phase I §§5.1–5.4, 6, 7; Term Sheet §12.1(c).

Analysis: A CREC on Lot 7 arises from PCE and petroleum solvent contamination migrating from the former King Street Cleaners operation at 518 King Street (approximately 1968–2005). SCDHEC issued a No Further Action letter dated August 12, 2021 (Site ID SC-29403-0772) subject to institutional controls recorded at Deed Book 1203, Page 89: (i) the ground floor of Lot 7 may not be used for

residential purposes, and (ii) a vapor barrier beneath the Bay 1 slab must be maintained and periodically inspected, may not be penetrated without SCDHEC approval, and any work affecting the slab must include inspection and, where necessary, repair. The NFA status is contingent on continued compliance. The title company's closer note expressly directs that the Mortgage and the Environmental Indemnity "contain specific covenants addressing the SCDHEC land use restriction … including the vapor barrier maintenance and periodic inspection obligation and the prohibition on residential use," and that "the Mortgage should contain an event of default triggered by any failure to comply with … said land use restriction." The Phase I report makes the same recommendation (Section 6(d)).

Draft treatment: Article 12 is purpose-built rather than templated. §12.2(a)–(g) impose the use prohibition, the vapor barrier maintenance obligation (including annual and pre/post-construction inspection by a licensed environmental professional), advance SCDHEC notification, the requirement of Lender consent to any modification or vacation of the LUR, record-keeping and delivery obligations. §16.1(l) makes any failure an Event of Default; §18.2(d) makes it a springing full-recourse carve-out; §7.9 and §7.2(g) and §20.2(e) control work affecting the Bay 1 slab; Exhibit E sets out the LUR in full for the closing file.

Recommendation: Confirm that the Environmental Indemnity (not in file) mirrors these obligations, as the title company requires both instruments to address the LUR. As drafted, a breach of Article 12 is an Event of Default under §16.1(l) and takes the general non-monetary cure period in §16.2(b) (30 days after notice, extendable to 90 if diligently pursued). That is deliberately more generous than the position taken by some lenders, and it produces an odd result: a missed annual inspection report and an unauthorized penetration of the Bay 1 slab would be treated identically. We recommend splitting the two — no cure for residential use, any unauthorized slab work or any modification of the LUR, and a 10-day notice-and-cure period for reporting and inspection obligations. This requires an amendment to §16.1(l) and §16.2 and should be raised with borrower's counsel rather than assumed.

B-2. The vapor barrier has never been inspected; the renovation scope may interface with the Bay 1 slab.

Record basis: Phase I §5.3 (vapor barrier "not directly visible or inspectable"; recommends confirmation by a licensed environmental professional "prior to or promptly after acquisition, and particularly before any renovation activity affecting the Bay 1 floor slab"); Phase I §5.4 note regarding planned renovation; Renovation Budget lines 1.0 (HVAC) and 3.0 (façade).

Analysis: The Phase I recommends a pre- or post-acquisition inspection. The renovation involves rooftop HVAC replacement and ductwork, elevator modernization, and façade work. Ductwork distribution and any slab-adjacent work could require penetration of or access through the Bay 1 slab. If the vapor barrier is compromised, the NFA determination is at risk and SCDHEC may reopen the file, with remediation cost potentially at the owner's expense.

Draft treatment: §12.2(c) requires a pre-construction inspection, a post-construction inspection and annual inspections thereafter; §7.9 prohibits slab-affecting work without SCDHEC notice, Lender consent and a consultant's plan.

Recommendation: Add a closing condition (or a 30-day post-closing covenant with a holdback of a portion of the Holdback) requiring a baseline vapor barrier inspection report. We recommend the former; if the borrower resists a pre-closing condition, the latter is a reasonable fallback. Also confirm with the Contractor, in writing, that the HVAC and elevator scopes do not require Bay 1 slab penetration; if they do, the notification and consent protocol must be sequenced into the draw schedule.

B-3. The environmental record is an executive summary, not a report, and the Phase II waiver is documented only by reference.

Record basis: Phase I cover notice, §§1 (limitations), 8 (qualifications); Term Sheet §12.1(c); Phase I §6 note (waiver documented in correspondence dated January 22, 2025 between Mr. Prideaux and Clearfield).

Analysis: The Phase I document in the file states that it "is extracted from the full Phase I," that the full report "should be reviewed in its entirety," and that the summary "does not constitute a complete Phase I Environmental Site Assessment under ASTM E1527-21 or 40 CFR Part 312." Lender's record should contain the full report, including Appendix A (database search), Appendix B (aerial photographs), Appendix C (Sanborn maps) and Appendix E (interviews), both for credit file purposes and to support the bona fide prospective purchaser / innocent landowner posture that depends on all appropriate inquiries.

Draft treatment: §8.5 limits Borrower's environmental representations to matters disclosed in the Phase I Report and Exhibit E (so Borrower does not warrant more than the record supports), and §12.3 states expressly that Lender's waiver of a Phase II assessment is not a representation as to environmental condition.

Recommendation: Obtain the full report and a reliance letter naming Lender and Borrower as intended users; place the January 22, 2025 waiver correspondence in the credit file.

C. Leases, rents and tenant matters

C-1. The assignment of rents is drafted as an absolute and present assignment, and the "collateral assignment" vocabulary has been removed throughout.

Record basis: Term Sheet §5.2 (absolute assignment; may be included in the Mortgage or executed separately); Prior Counsel Notes §3 (directing absolute assignment under the Uniform Assignment of Rents Act; removal of "collateral" characterization); Title Commitment Requirement 5 (assignment of leases and rents or inclusion within the Mortgage).

Analysis: The Mortgage incorporates the assignment rather than requiring a separate recorded instrument, which reduces recording cost and centralizes enforcement — the approach your markup notes directed. Perfection follows from

recording (§3.1); enforcement follows default and notice (§3.3). The license to collect before default (§3.2) preserves Borrower's ordinary-course operation while making clear that collection after default requires no receiver, no court order and no tenant consent.

Draft treatment: Article 3. §3.1 characterizes the transfer as absolute and present, cites the South Carolina Uniform Assignment of Rents Act (S.C. Code Ann. § 29-3-100 *et seq.*, as cited in your markup notes) and states that perfection occurs upon recording. §§3.2–3.4 provide the revocable license, notice and enforcement mechanics, and security deposit treatment. §3.7 prevents merger of the assignment into the lien on foreclosure.

Recommendation: Have the statutory citation verified against the current Code before execution. We have retained the citation exactly as it appeared in your markup notes; we have not independently confirmed the section numbering of the South Carolina enactment, and an incorrect pin cite in a recorded instrument is an avoidable distraction. Also confirm whether the Trust Fund provisions of the Lease trigger any separate treatment of security deposits.

C-2. The Lowcountry Provisions lease has no assignment provision, no estoppel obligation and no SNDA — yet estoppels and SNDAs from all tenants are conditions precedent.

Record basis: Rent Roll, Lease Abstracts tab ("Assignment/Subletting: No provision… does not contain a consent requirement, prohibition, or landlord approval mechanism"; "Lease does not contain a provision requiring tenant to deliver estoppel certificates"; "Lease does not contain SNDA provisions"); Term Sheet §§2.3 (estoppels and SNDAs required), 12.1(j), 12.1(k); Title Commitment Requirement 11 and Closer Note 5; Prior Counsel Notes §3 (identifying this as critical).

Analysis: This tenant occupies 3,800 square feet at $28.50 per square foot (escalating to $30.24 by January 2027) through December 31, 2027, with a five-year renewal option exercisable by March 31, 2027 — a notice date that falls before the first DSCR test and within the lockout period. It has no contractual obligation to deliver an estoppel or an SNDA, and no contractual machinery for assignment consent. Legally, the rent assignment is enforceable on notice under the Act; practically, a cooperative tenant at closing is worth more than a correct legal position, and the last thing the bank needs in a workout is a tenant asserting that it never agreed to pay a lender. The lease also carries an exclusive use (specialty grocery) that constrains future leasing, and the tenant's renewal notice deadline should be diarized.

Draft treatment: §3.5 requires estoppels and SNDAs from each of the three tenants as a condition to the initial advance and specifies that the Lowcountry estoppel must acknowledge the Mortgage and the assignment, confirm no offsets, and agree to pay Rents to Lender on notice; §9.7 imposes a post-closing estoppel covenant; §20.1(l) makes delivery a condition precedent; §3.5 also includes the post-closing covenant (per your instruction) to pursue a consent-to-assignment amendment at

the next renewal, extension or amendment opportunity. §20.3 requires any waiver of a condition to be in writing and to identify the condition waived.

Recommendation: Begin the estoppel and SNDA process now, using Lender's form with the Mortgage and assignment attached. If the tenant will not sign an SNDA, our recommended fallback is (i) an estoppel containing an acknowledgment of the assignment and a direction to pay, plus (ii) a Lender notice letter to the tenant under the Act, plus (iii) a written, specific Lender waiver of the SNDA condition under §20.3. Do not permit the condition to be waived informally by closing.

C-3. The Harmon & Wren right of first refusal on Bay 2 governs the lease-up schedule on which the whole credit story depends.

Record basis: Rent Roll, Lease Abstracts and Vacancy Schedule tabs (ROFR: 15 business days to accept or decline; survives renewal; est. 60–90 days added to Bay 2 absorption); Appraisal §3.2 and §6.3 (same conclusion); Term Sheet §10.6.

Analysis: Bay 2 (3,800 square feet) is one of only two vacant spaces and is the space the borrower projects to lease first (execution projected October 2025, rent commencement January 1, 2026). The ROFR gives Harmon & Wren a 15-business-day right to match any third-party offer, and the tenant's own lease expires June 30, 2026 with a renewal notice deadline of December 31, 2025 — meaning the borrower will be negotiating the renewal and running a Bay 2 marketing process at the same time, with the ROFR as leverage. The tenant's early termination right (effective June 30, 2025, notice deadline December 31, 2024) appears to have lapsed; that should be confirmed in the estoppel.

Draft treatment: §9.6 requires compliance with the ROFR and the Lowcountry exclusivity, requires Lender consent to any new lease or modification over 5,000 square feet or over five years, and requires delivery of credit information before execution. §8.4 requires the rent roll representation to capture ROFRs and exclusives. §13.3(c) requires certified quarterly rent rolls with a delinquency schedule.

Recommendation: Ask Borrower to confirm in writing that the Harmon & Wren termination right has lapsed, and to provide a leasing plan for Bay 2 that assumes the ROFR process runs in parallel. Consider whether the Lender's consent right over new leases should extend to all ground-floor retail bays rather than only those over 5,000 square feet — at 3,800 square feet per bay, the current threshold means no ground-floor lease requires Lender consent.

C-4. Tenant improvement funding has two possible sources, and the draft fixes the order of priority.

Record basis: Term Sheet §§6.3 (separate $150,000 reserve, replenished within 30 days of demand, exclusive use for tenant improvements and leasing commissions), 8.2 (Renovation Budget line 4.0, $550,000 of TI allowances); Renovation Budget lines 4.0 and 5.0; Vacancy Schedule (TI cost $310,600 and leasing commissions $89,750 in the worst case).

Analysis: Without an ordering rule, the same tenant improvement dollar could be claimed twice — from the TI/LC reserve and from the Holdback — and the reserve's 30-day replenishment obligation could collide with Borrower's $500,000 liquidity covenant. The projected leasing commissions ($89,750 worst case) are not in the Renovation Budget at all and must come from the reserve.

Draft treatment: §6.3(d) requires tenant improvement costs to be funded first from the TI/LC reserve and then from the Holdback, and prohibits double reimbursement; §6.3(c) imposes the 30-day replenishment obligation and §16.1(h) makes failure an Event of Default; §7.2(f) conditions TI-related draws on an approved lease.

Recommendation: Confirm the allocation with Borrower and reflect it in the closing statement. Note the interaction between replenishment and the liquidity covenant in §13.2 and consider whether the replenishment obligation should be subordinate to maintenance of the liquidity covenant.

C-5. Leasing consent thresholds are drawn from the Term Sheet and should be reviewed against the actual space configuration.

Record basis: Term Sheet §10.6 (consent for leases over 5,000 square feet or over five years, not unreasonably withheld, conditioned or delayed).

Analysis: All three retail bays are 3,800 square feet and the two office suites are 9,800 square feet. The 5,000 square foot threshold therefore means no ground-floor retail lease requires Lender consent, while any office lease does. Renewals may constitute new leases for this purpose, and all three leases have renewal options.

Draft treatment: §9.6 tracks the Term Sheet thresholds and adds the compliance carve-outs for the LUR, tenant exclusives and purchase options, and gives Lender a 10-business-day pre-execution review of leases requiring consent.

Recommendation: Decide whether the thresholds are intended as drafted (we have not changed them, because they are commercial terms in an executed commitment).

C-6. The in-place rent figure in the Term Sheet, the appraisal and the rent roll is stale, and the occupancy figure is wrong.

Record basis: Term Sheet §2.3 (68% occupancy; "$415,100" total in-place rent; vacant space "13,600 square feet, or approximately 43.9%"); Appraisal §1 and §3.1 (68%; 21,400 square feet; $19.40 per square foot weighted average); Rent Roll, Summary tab (56.13% occupancy; $415,100; $23.86 per square foot) and Lease Abstracts tab (escalation schedules showing Lowcountry at $29.36 per square foot from January 2025 and Harmon & Wren at $25.22 per square foot from July 2024).

Analysis: Three separate problems. First, occupancy: occupied area is 17,400 square feet (3,800 + 3,800 + 9,800) — 56.13% of 31,000 square feet. The Term Sheet's 68% is internally inconsistent with its own statement that 13,600 square feet (43.9%) is vacant. The appraisal's "21,400 SF" does not correspond to any combination of leased spaces in the rent roll and appears to be the source of both

the 68% figure and the $19.40 per square foot weighted average (since $415,100 ÷ 21,400 = $19.40). Second, rent: the $415,100 figure reflects pre-escalation rents. Applying the contractual escalations, in-place rent at closing is approximately $422,966 (Lowcountry $111,549 at $29.36 per square foot; Harmon & Wren $95,817 at $25.22 per square foot; Tidemark $215,600 at $22.00 per square foot, with its first escalation not until April 1, 2026). The rent roll is internally inconsistent on this point: the Summary tab shows $28.50 and $24.00 as "Current" while the Lease Abstracts tab shows the escalated schedule. Third, the same underlying error appears in the appraiser's weighted average rent, which understates in-place rent per square foot by $4.46.

Draft treatment: The Draft Mortgage does not embed any occupancy percentage or aggregate rent figure. §8.4 requires a representation measured against a **certified** rent roll attached as Exhibit D (Schedule D-1), §13.4 requires occupancy reporting with each compliance certificate, and §13.3(c) requires certified quarterly rent rolls with delinquency detail. Exhibit D's summary table reflects the base rents as stated in the rent roll, with commencement and escalation detail moved into the accompanying notes so that the exhibit does not assert a figure the record cannot support.

Recommendation: Obtain a certified rent roll as of the closing date, reconciled to the leases including escalations, and use it as Schedule D-1. The corrected occupancy and rent figures should also be reflected in the credit file and in any loan committee presentation, because the 68% figure materially overstates the Property's leased position.

C-7. Security deposits and tenant funds are assigned but must remain available to tenants.

Record basis: Rent Roll ($69,183 held); Term Sheet §5.1(d) and §5.2; Prior Counsel Notes §3.

Draft treatment: §3.1 assigns security deposits; §3.4 requires Borrower to hold them in accordance with the Leases and applicable law, not to apply them except as the Lease permits, and to deliver a schedule and, on default, transfer them to Lender's control.

Recommendation: No action, other than to confirm that the certified rent roll's deposit figures reconcile to Borrower's rent ledger at closing.

D. Single-purpose entity, organizational authority and bankruptcy remoteness

D-1. The Operating Agreement does not satisfy the Term Sheet's SPE requirements, and the amendment must be signed by all three Members.

Record basis: Term Sheet §§10.1(a)–(g), 11.1(j), 12.1(g); OA Summary §§1.4, 3.1, 3.2, 8.1, 9.1; Prior Counsel Notes §4.

Analysis: The Operating Agreement summary confirms each deficiency your markup notes identified: no independent manager or independent director (OA Summary §3.1); no separateness covenants and no requirement that the Company

maintain itself as an entity separate from its Members; a purpose clause with an unlimited "any and all activities necessary, incidental, or related thereto" catch-all (OA Summary §1.4); no lender consent to dissolution and no bankruptcy-consent provision (OA Summary §8.1); and amendments requiring the Managing Member plus 75% of membership interests (OA Summary §9.1). Because GDG holds 72%, GDG cannot amend the Operating Agreement alone: **at least one Passive Member must approve the amendment**, and the amendment must be executed by all three Members. Your markup notes correctly identified this and required execution by all three.

Draft treatment: Article 14 sets out the single-purpose purpose limitation, the eleven separateness covenants, the Independent Manager requirement (including consent to bankruptcy, dissolution, merger and amendment of SPE provisions), the Member consent obligation and the prohibition on amending organizational documents; §14.6 records the specific deficiencies in the Operating Agreement as delivered so that the amendment can be tested against them; §8.6 requires a representation that the Operating Agreement complies from and after closing; §20.1(i) makes the executed amendment a condition precedent; Article 23 contains Member signature blocks.

Recommendation: Circulate a form of Operating Agreement Amendment (we have not drafted it — it is not within the scope of the enclosed deliverable) and require executed originals from Graydon Development Group LLC, Tidewater Opportunity Fund II LP and Harborline Capital Advisors LLC. Note that Section 9.1 of the Operating Agreement permits amendment with 75% approval **except** where the amendment alters a Member's economic rights or increases capital obligations, in which case each affected Member must consent. The SPE provisions should not alter economics, but confirm that with borrower's counsel so the amendment does not require unanimous consent on a different basis.

D-2. Execution of a $14,750,000 loan is itself a Major Decision requiring 75% Member approval.

Record basis: OA Summary §3.2(ii) ("Any financing or refinancing of the Property in an amount in excess of $1,000,000" is a Major Decision requiring 75% of membership interests), §3.1(e) (Managing Member may execute loan documents), §3.3 (no officers appointed; documents executed by Mr. Graydon as sole member and manager of GDG); Term Sheet §12.1(h) (opinion as to due authorization); Title Commitment Requirement 8(b) and (c).

Analysis: There is a tension in the organizational documents. Section 3.1(e) gives the Managing Member power to execute loan documents, but Section 3.2(ii) makes financing in excess of $1,000,000 a Major Decision requiring 75% approval, which GDG's 72% cannot deliver alone. A lender relying only on the Managing Member's signature may be relying on authority that is internally conditioned. Title Requirement 8(b) requires satisfactory evidence that the executing persons are authorized "pursuant to the operating agreement and/or resolutions of the members," and the Term Sheet requires an opinion that execution is duly authorized.

Draft treatment: §8.2 contains a representation of due authorization "including by Graydon Development Group LLC as Managing Member and by the Members to the extent required by the Operating Agreement"; the Members' Consent in Article 23 constitutes the written consent of all three Members to the execution and delivery of **this Mortgage**.

Recommendation: The Article 23 consent is limited to the Mortgage. We recommend replacing it at closing with a single omnibus written consent of all Members authorizing the Loan and all Loan Documents (Note, Mortgage, Assignment, UCC filings, Environmental Indemnity, and acknowledgment of the Guaranties), and that Borrower's counsel's opinion expressly address compliance with Section 3.2(ii) of the Operating Agreement. This is a five-minute fix at closing and a difficult problem to cure later.

D-3. Tidewater GP Holdings LLC must be shown to have authority to bind the fund.

Record basis: OA Summary §§2.1 ("Tidewater GP Holdings LLC has the exclusive authority to manage and direct the affairs of Tidewater"), 10 (signature blocks); Prior Counsel Notes §4 (asking for a GP authorization certificate).

Analysis: The limited partnership agreement of Tidewater Opportunity Fund II LP is not in the file, so we cannot confirm whether its general partner may bind the fund to an SPE amendment and member consent without further fund-level approvals.

Draft treatment: Article 23 signature block for Tidewater is executed by Tidewater GP Holdings LLC as general partner.

Recommendation: Obtain a general partner authorization certificate or resolution, or the relevant provisions of the limited partnership agreement, before closing.

D-4. The registered agent is identified differently in two source documents.

Record basis: Term Sheet §1.2 ("Capitol Registered Agents Inc., 1201 Main Street, Suite 410, Columbia"); OA Summary §1.3 ("Statehouse Registered Agents, Inc., 1201 Main Street, Suite 410, Columbia").

Analysis: Same address, different entity name. One of the two is wrong, or the agent was changed. The Draft Mortgage does not name the registered agent; it requires notice of any change (§9.13(g)) and prohibits change without notice (§10.6).

Recommendation: Confirm current registered agent from the South Carolina Secretary of State business entity filing before closing, and correct whichever source document is wrong for the credit file.

E. Loan economics

E-1. The DSCR covenant cannot be satisfied at any occupancy, on the borrower's own projections.

Record basis: Term Sheet §§7.1 (1.25x minimum, testing from month 24), 11.1(i) (two consecutive quarters below 1.25x is an Event of Default); Rent Roll, Vacancy Schedule tab (stabilized best-case NOI $622,772; debt service $93,500 per month / $1,122,000 per year; DSCR 0.555x; "DOES NOT MEET 1.25x COVENANT"; realistic scenario NOI $314,782; DSCR 0.281x).

Analysis: We recomputed the debt service rather than adopting the workbook's figure: 25-year amortization of $14,750,000 at 5.85% produces $93,686.61 per month and $1,124,239 per year. Against best-case stabilized NOI of $622,772, that is a DSCR of **0.554x**; on an interest-only basis, $622,772 ÷ $862,875 = **0.722x**; on the workbook's "realistic" scenario, **0.280x**. The requirement of 1.25x on amortizing debt service implies required NOI of **$1,405,299**, or $45.33 per square foot across 31,000 square feet, against market rents of $24.00–$32.00 per square foot for ground-floor retail and $19.00–$25.00 per square foot for Class B office. Even with all 31,000 square feet leased at the rent roll's stabilized rents ($755,549 of gross revenue) and zero operating expenses, the DSCR would be 0.672x. There is no occupancy outcome that satisfies the covenant. This is not a lease-up timing risk; it is a structural mismatch between the loan amount, the debt service and the Property's income.

Draft treatment: §13.1 defines DSCR, Net Operating Income and Annual Debt Service with the specificity the Term Sheet leaves open (Term Sheet §7.1: "The precise definitions … shall be set forth in the Loan Documents"); Net Operating Income excludes non-recurring items, insurance and condemnation proceeds, capital expenditures and expenses funded from reserves, caps management fees at 4% of gross revenue, and Annual Debt Service is calculated on the 25-year amortization at the greater of the current rate and the floor rate. §13.1(d) grosses up debt service to the full $14,750,000 even before full disbursement. §13.5 provides a cure-deposit mechanism (a deposit equal to the excess of 1.25 times Annual Debt Service over Net Operating Income, held as additional Collateral, released after two consecutive compliant test dates and capped at two deposits over the term). §16.1(g) implements the Term Sheet's two-quarter default trigger.

Recommendation: This requires a credit decision, not a drafting decision. The options, in order of structural soundness: (i) reduce the loan amount or extend the interest-only period so that the covenant is achievable on stabilized NOI; (ii) replace the amortizing DSCR test with an interest-only DSCR test at a lower threshold (for example, 1.00x on interest-only debt service, which still implies required NOI of $862,875 — itself 39% above the best-case projection); (iii) retain the covenant but require a funded debt service reserve equal to 12 months of debt service plus an extended interest-shortfall guaranty running beyond the first test date; (iv) require a cash sweep at any DSCR below 1.10x with a hard lockbox. As drafted, the Loan will be in default by the second test date absent one of these changes. It is worth quantifying what the cure mechanism would require: on the

borrower's own best-case stabilized projection, the §13.5 deposit at the first DSCR test date would be **$782,527** ($1,405,299 required NOI less $622,772 projected NOI), payable within 30 days of the compliance certificate due date. A cure that is eight times the projected cash flow shortfall is not a cure; it is a default with a price tag. A covenant the lender knows will be breached is worse than no covenant — it invites a waiver practice and, in a bankruptcy, an argument that the lender never expected compliance.

E-2. The appraisal's income approach cannot be reconciled to its value conclusions, and the loan is sized at 81.04% of the as-is value.

Record basis: Appraisal §§6.2 (as-is NOI approximately $332,000–$345,000; 6.25% cap rate; value $18,200,000), 6.3 (stabilized NOI $582,000–$592,000; 5.85% cap rate; value $23,500,000), 7 (final value opinions), 8 (limiting conditions); Term Sheet §§2.4, 3.5, 12.1(d); RTC/FIRREA references in Term Sheet §2.4.

Analysis: Applying the appraiser's own selected cap rates to the appraiser's own NOI produces values of approximately $5.42 million (as-is, $338,500 ÷ 6.25%) and $10.03 million (as-stabilized, $587,000 ÷ 5.85%). Conversely, the stated values imply cap rates of approximately 1.86% and 2.50%. Those are not plausible going-in cap rates for Upper King Street mixed-use property in a market where the appraisal itself reports market cap rates of 5.75%–6.50%. The sales comparison approach, by contrast, is internally consistent: $18,200,000 ÷ 31,000 square feet = $587 per square foot against comparables at $550, $600 and $620 per square foot. The most likely explanation is that the income approach was not reconciled to the rent roll, or that the reported NOI figures are wrong — which is consistent with the same document's occupancy and weighted-average-rent errors identified in Issue C-6. Either way, the loan is sized at 81.04% of a value whose income-approach support we cannot verify, on a property whose projected NOI would support roughly $10 million of value at the appraiser's own stabilized cap rate.

Draft treatment: The Draft Mortgage does not recite values; §20.1(g) conditions the initial advance on receipt of an appraisal supporting the as-is and as-stabilized values and on evidence of any approved exception to underwriting guidelines; §9.12 preserves Lender's right to obtain appraisals at Borrower's expense.

Recommendation: Order a USPAP Standard 3 review of the appraisal before closing and require the appraiser to reconcile the income approach to the rent roll or explain the variance. We make no representation as to value and have not performed an appraisal; our point is internal consistency, which is squarely within the lender's diligence obligations under its appraisal regulations. This finding should be presented to loan committee together with Issue E-1.

E-3. Sources and uses do not balance after transaction costs.

Record basis: Term Sheet §§3.3 (initial advance applied to purchase price, closing costs and reserves), 3.4 (Total Project Cost $20,950,000; equity $6,200,000), 13.1 (origination fee $147,500), 13.2 (Borrower pays all Lender costs), 6.3 ($150,000 reserve at closing); Prior Counsel Notes §6 (0.37% mortgage tax; $54,575).

Analysis: Total sources are $20,950,000 (Loan $14,750,000 + equity $6,200,000). Total uses per the Term Sheet are also $20,950,000 — purchase price plus Renovation Budget — which by definition excludes the origination fee, the recording fee, title premium, survey, appraisal, environmental, UCC filings, Lender's legal fees and the $150,000 TI/LC reserve. Because $900,000 of equity is committed to renovation (Renovation Budget, Budget Detail tab), only $5,300,000 of equity is available at closing; $12,500,000 + $5,300,000 = $17,800,000, exactly the purchase price, leaving nothing for costs. The identifiable shortfall before unquantified items is $352,075 ($147,500 + $54,575 + $150,000).

Draft treatment: §20.1(n) conditions the initial advance on receipt of the $6,200,000 equity contribution "together with a sources and uses statement for the Loan acceptable to Lender"; §22.9 allocates recording fees, documentary taxes and closing costs to Borrower.

Recommendation: Require Borrower to fund additional equity of not less than the shortfall, or obtain written confirmation from Prestige Title of the complete closing statement and Borrower's evidence of funds. This is a closing-mechanics item that becomes a funding failure on the closing date if it is not addressed now.

E-4. The yield maintenance formula in the Term Sheet is under-specified, and the formula in your markup notes differs from it.

Record basis: Term Sheet §4.2 (premium equals the greater of 1.00% of the outstanding principal or the present value of the excess of interest at the Note rate over interest at "the treasury rate plus fifty (50) basis points," discounted "at the treasury rate"); Prior Counsel Notes §5 (proposing a formula equal to the present value of remaining payments discounted at the Treasury Rate less the principal prepaid, with "in no event … less than zero," and recommending that the 50 basis points be added to the loan rate rather than the Treasury rate).

Analysis: Two drafting positions were available. The Term Sheet's structure is a "greater of" test with a hard 1.00% floor; the markup note's structure is a present-value differential with a zero floor and no minimum. Those produce different premiums, and the markup note's version drops the 1.00% floor that appears in the executed commitment. The markup note also flags the ambiguity in "treasury rate + 50 bps" and recommends adding the spread to the loan rate; the Term Sheet's text, read naturally, adds it to the Treasury rate in computing the comparison yield.

Draft treatment: We followed the Term Sheet. §5.8 states the "greater of" test with the 1.00% minimum preserved; §5.9 sets out a step-by-step computation, defines the Treasury Rate by reference to Federal Reserve Statistical Release H.15 — Treasury Constant Maturities with linear interpolation between the two nearest published maturities, measured as of the second Business Day preceding prepayment, on an actual/360 basis with monthly compounding, treats the interest differential as floored at zero (so the computation under limb (ii) cannot be negative), and requires Lender to deliver its computation within five Business Days.

Recommendation: Obtain a written instruction from you on two points before the draft goes to borrower: (i) whether the 50 basis points is added to the Treasury rate (as drafted, consistent with the Term Sheet's text) or to the Note rate (as your markup notes recommended); and (ii) whether the 1.00% minimum is retained (as drafted and as the Term Sheet requires) or dropped (as the markup note formula implies). We recommend retaining both as drafted. South Carolina courts have enforced yield maintenance provisions that are mathematically determinate; the risk of unenforceability arises from ambiguity, and the drafted formula is designed to eliminate it.

E-5. Prepayment during the lockout is addressed inconsistently in the Term Sheet.

Record basis: Term Sheet §§4.1 ("The Loan may not be prepaid… during the first twenty-four (24) months"; any prepayment "in violation of this restriction shall be subject to a prepayment premium as described in Section 4.2"), 4.2 (premium applies "from the expiration of the Lockout Period through the forty-eighth (48th) month").

Analysis: Section 4.1 prohibits prepayment during the lockout but then says a prohibited prepayment is subject to a Section 4.2 premium — and Section 4.2 by its terms applies only after the lockout expires. A pure prohibition (with no premium, because no prepayment may occur) and a prohibition-with-premium produce different negotiating positions and different outcomes if a borrower tenders funds.

Draft treatment: §5.7 prohibits voluntary prepayment during the lockout, permits Lender to refuse and return any tendered amount, and provides that if Lender accepts in its sole discretion, the premium equals the amount that would be payable under §5.8 had the prepayment occurred on the last day of the lockout.

Recommendation: Confirm this treatment, and confirm the casualty and condemnation carve-out in §5.7 and §15.3(c) (proceeds applied at par without premium). Your markup notes asked us to confirm that carve-out with the client; the Term Sheet is silent, and we have taken the borrower-favorable position because an involuntary prepayment premium is difficult to defend as liquidated damages.

E-6. Interest mechanics are not specified in the Term Sheet.

Record basis: Term Sheet §3.6 (Daily SOFR plus 2.85%; floor of 3.00%; published rate or prior Business Day's rate).

Analysis: The Term Sheet does not specify the day-count convention (actual/360 versus actual/365), whether interest is compounded, how partial accrual periods are handled, or what happens if Daily SOFR is permanently discontinued. Each has a real cost effect: actual/360 produces approximately 1.4% more interest than actual/365 on the same nominal rate.

Draft treatment: §5.2(b) adopts actual/360 daily accrual; §5.2(c) makes Lender's determination conclusive absent manifest error and requires a monthly rate

statement; §5.2(d) provides a successor-rate mechanism (New York Fed recommended successor rate plus any recommended spread adjustment, giving effect to the floor). §5.1 also specifies that, for a floating-rate loan, the amortizing installment is recalculated on each Payment Date using the then-outstanding principal balance and the then-applicable rate — the Term Sheet §3.9 wording leaves the recast frequency open, and an un-recast payment would not amortize to zero over 25 years.

Recommendation: Confirm actual/360 with you and with the loan servicing group; document the convention in the Note and the loan system so that billing matches documentation.

E-7. The default rate and late charge should be reviewed for enforceability.

Record basis: Term Sheet §§3.7 (default rate = applicable rate + 5.00%), 3.11 (5% late charge after 10 calendar days).

Analysis: At the SOFR floor, the default rate is 10.85%. South Carolina permits parties to agree upon rates for commercial loan transactions above certain thresholds, but the combination of a 5.00% default spread, a 5% late charge and compounding default interest can attract a penalty characterization in a contested enforcement, particularly if the late charge is imposed on the same amounts that are also carrying default interest.

Draft treatment: §§5.3 (default rate), 5.4 (late charge, with express statement that it compensates administrative expense and is not a penalty), 5.13 (usury savings clause that limits the aggregate to the maximum lawful rate, applies any excess to principal, and provides for pro rata allocation over the term).

Recommendation: Confirm with South Carolina counsel that the 10.85% default rate and the 5% late charge are enforceable as drafted; we have included the savings clause as a backstop but have not rendered an opinion on the maximum lawful rate.

E-8. The interest-shortfall guaranty ends twelve months before the first DSCR test.

Record basis: Term Sheet §§5.5(c) (shortfall guaranty covering “the first fourteen (14) months following closing”), 7.1 (DSCR testing from month 24), 8.3 (Substantial Completion June 15, 2026).

Analysis: Fourteen months from April 15, 2025 is June 15, 2026. The first DSCR test date under the Term Sheet is the quarter ending June 30, 2027. Between June 15, 2026 and June 30, 2027 there is no debt service support collateral, no DSCR covenant in effect, and no occupancy requirement — during exactly the period in which Suite B is projected to be leased (projected rent commencement February 1, 2027, only 2.5 months before the test date, which the workbook itself describes as an “AGGRESSIVE TIMELINE”).

Draft treatment: §19.1 recites the Payment Guaranty on the Term Sheet’s 14-month terms (we have not extended a commercial term); Article 18 contains the

carve-out recourse structure; §13.1 commences DSCR testing with the quarter ending June 30, 2027, consistent with the Term Sheet.

Recommendation: Extend the interest-shortfall guaranty to the first DSCR test date (or to achievement of 90% occupancy), or add a funded interest reserve for the intervening period. This is the cheapest available mitigation for Issues E-1 and E-2 and should be negotiated as a package.

E-9. The Term Sheet describes the Guaranty as "full recourse" and simultaneously as a non-recourse carve-out guaranty.

Record basis: Term Sheet §5.5 (introducing "a full recourse personal guaranty," then describing "(a) Non-Recourse Carve-Out Guaranty" — the Loan to be "structured as non-recourse to Borrower, except for certain 'carve-out' events … that trigger springing full recourse liability of Guarantor for the entire outstanding indebtedness" — plus (b) the Completion Guaranty and (c) the Payment Guaranty); Guarantor Acknowledgment (referring to "the Guaranty Agreement, Completion Guaranty, Payment Guaranty"); Term Sheet §§14.3 (Loan Document list includes only a "Guaranty Agreement").

Analysis: The document uses "full recourse" in two different senses: full recourse as to the amount of liability once a carve-out is triggered (springing full recourse), and full recourse as to the circumstances of liability (a payment guaranty of all obligations at all times). Which is intended determines whether Guarantor is liable for ordinary payment defaults or only for bad-boy acts plus the completion and shortfall guaranties. The document list compounds the ambiguity by naming one "Guaranty Agreement" in §14.3 while the acknowledgment names three instruments.

Draft treatment: Article 18 implements the carve-out structure (non-recourse to Borrower subject to springing full recourse to Borrower and Guarantor for the entire Obligations upon a Carve-Out Event, mirroring Term Sheet §5.5(a)(i)–(v) with sub-clauses); §19.1 recites the three separate guaranties; §19.7 resolves conflicts among Loan Documents.

Recommendation: Confirm the guaranty structure and the number of guaranty instruments, and conform the document list in Term Sheet §14.3 and the closing checklist. If the Guaranty is intended to be a payment guaranty of all Obligations at all times, Article 18 should be revised and the recourse analysis changes materially.

F. Renovation and draw administration

F-1. The draw schedule does not reconcile to the budget.

Record basis: Renovation Budget and Draw Schedule, Budget Detail and Draw Schedule tabs.

Analysis: Summing the 14 monthly draws by line item and comparing to the Budget Detail allocation:

Line item	Budget	Lender Holdback per budget	Borrower equity per budget	Draws: Lender	Draws: Borrower	Draws total	Variance vs budget
HVAC	$1,200,000	$850,000	$350,000	$900,000	$350,000	$1,250,000	**+$50,000**
Elevator	$475,000	$375,000	$100,000	$325,000	$100,000	$425,000	**–$50,000**
Façade	$625,000	$425,000	$200,000	$425,000	$200,000	$625,000	$0
TI allowances	$550,000	$450,000	$100,000	$450,000	$110,000	$560,000	**+$10,000**
Soft costs/contingency	$300,000	$150,000	$150,000	$150,000	$145,000	$295,000	**–$5,000**
Total	**$3,150,000**	**$2,250,000**	**$900,000**	**$2,250,000**	**$905,000**	**$3,155,000**	**+$5,000**

The Holdback total ($2,250,000) is correct, but Borrower equity is overstated by $5,000 ($905,000 drawn against a $900,000 commitment), and the schedule's final row shows remaining equity of –$5,000. HVAC holdback draws also exceed the line-item allocation by $50,000, offset by a $50,000 shortfall in elevator draws.

Draft treatment: Exhibit C adopts the Budget Detail allocation and states that the draw schedule is a planning document that does not amend the budget or waive any condition; §7.2(e) requires evidence that Borrower is funding its proportionate share consistent with Exhibit C; §7.5 requires Borrower to fund cost overruns.

Recommendation: Have Borrower reconcile and re-certify the draw schedule before closing. Do not attach the current version as Schedule C-1 without correction.

F-2. The draw schedule ignores the 10% retainage, so the Borrower must fund about $225,000 more during construction than the schedule shows.

Record basis: Term Sheet §8.4 (10% retainage until substantial completion); Renovation Budget and Draw Schedule (holdback fully drawn by Month 14).

Analysis: Ten percent of the $2,250,000 Holdback is $225,000. If retainage is withheld, aggregate disbursements before Substantial Completion cannot exceed $2,025,000. The schedule reaches cumulative holdback draws of $2,235,000 by Month 13 (May 15, 2026) and $2,250,000 by Month 14, which exceeds the 90% ceiling by up to $225,000. Because substantial completion is a condition to release, the schedule's assumption that the Holdback is exhausted at the substantial completion date is arithmetically inconsistent with the retainage requirement.

Draft treatment: §7.3 states the retainage requirement and expressly states the $2,025,000 ceiling and Borrower's obligation to fund the resulting timing difference — so the borrower cannot later claim surprise.

Recommendation: Reflect the retainage in the re-certified draw schedule and confirm Borrower's liquidity to fund the timing gap, including the interaction with the $500,000 liquidity covenant in §13.2 and the $150,000 TI/LC reserve replenishment obligation in §6.3(c).

F-3. Substantial completion carries an Event of Default but no cure; the draft adds a limited force majeure extension.

Record basis: Term Sheet §§8.3, 11.1(h), 11.2(b) (non-monetary cure expressly excludes nothing about completion but excludes SPE, transfer and insurance defaults).

Analysis: The Term Sheet makes failure to achieve substantial completion by June 15, 2026 an Event of Default and does not specify a cure period. A hard deadline with no relief for permit or certificate-of-occupancy delay is common but harsh, particularly where the façade scope requires Board of Architectural Review approval.

Draft treatment: §7.4 and §16.1(j) implement the Event of Default; §16.2(e) permits Lender, in its discretion and on Borrower's timely request, to extend the deadline by up to 60 days for delays beyond Borrower's control (casualty, governmental permit or certificate-of-occupancy delay, labor disputes) not caused by Borrower, Guarantor or the Contractor.

Recommendation: Confirm the extension mechanic. It is a lender-protective mechanism (discretionary, capped, conditioned) rather than a borrower entitlement, and it reduces the risk of a technical default arising from City processing times.

F-4. Change order control and Contractor lien exposure.

Record basis: Term Sheet §8.1 (Contractor; copy of executed contract and all amendments before closing); §8.4 (lien waivers; date-down endorsements); §6.4(i)–(iii).

Analysis: The Construction Contract is not in the file, so we cannot confirm its payment terms, retainage provisions, lien waiver obligations, completion dates or whether it contains a consent-to-assignment of contract rights in Lender's favor (Term Sheet §5.1(g) requires the assignment of Borrower's interest in the renovation contract).

Draft treatment: §7.6 caps Borrower's unilateral change order authority at $100,000 in the aggregate (the Term Sheet does not address change orders — this is a Lender-protective addition); §7.2(b)–(d) require conditional and unconditional lien waivers and a date-down endorsement; §7.10 requires permits and Board of Architectural Review approval.

Recommendation: Review the Construction Contract before closing for assignability, lien waiver mechanics, retainage, and completion schedule compatibility with June 15, 2026; confirm the Contractor's payment and performance bonds (if any) and additional insured status.

F-5. The renovation schedule assumes leases that the leasing projections do not support.

Record basis: Renovation Budget and Draw Schedule (TI draws for Bay 2 from Month 6, October 2025, and for Suite B from Month 9, January 2026); Rent Roll, Vacancy Schedule tab (Bay 2 lease execution projected October 2025; Suite B

marketing to begin July 2026 with lease execution November 2026 and rent commencement February 1, 2027).

Analysis: The draw schedule spends Suite B tenant improvement dollars from January 2026, six months after the marketing of Suite B is projected to begin (July 2026) and ten months before its projected lease execution (November 2026). Either the draw schedule is optimistic or the lease-up projections are not the plan of record. The difference matters because the Holdback is the funding source for those TI dollars and the DSCR test depends on Suite B being leased.

Draft treatment: §7.2(f) conditions TI-related draws on an executed, Lender-approved lease, which prevents a draw for an unleased space.

Recommendation: Ask Borrower to state which schedule is the plan of record, and re-certify both.

G. Insurance

G-1. Flood insurance of $5,000,000 is required for a Zone X property with no federal mandate.

Record basis: Term Sheet §9.3; Phase I §2 (Zone X, Panel 45019C0520J effective December 4, 2020); Appraisal §2.1 (Zone X, "no mandatory flood insurance requirement under federal regulation"); §5 (same).

Analysis: This is a contractual requirement, not a regulatory one. It is also materially more expensive than a standard flood placement, and the coverage limit exceeds the as-is value of the Property. Because the Property is not in a Special Flood Hazard Area, the federal mandatory purchase requirement does not apply, and the bank's flood determination should say so.

Draft treatment: §11.3 requires $5,000,000 of flood coverage and states expressly that the requirement applies notwithstanding that Zone X carries no federal mandate and that failure to maintain is an Event of Default under §16.1(f). §22.18 preserves Lender's regulatory compliance rights.

Recommendation: Confirm with credit and insurance review that the $5,000,000 requirement is the intended requirement (which it plainly is under the Term Sheet), and obtain a current Standard Flood Hazard Determination. Flag the cost in the closing statement. If the requirement is later relaxed, it should be relaxed in writing before closing, not waived informally after.

G-2. Builder's risk and property coverage overlap during the Renovation Period.

Record basis: Term Sheet §§9.1, 9.4.

Draft treatment: §11.1 (all-risk, replacement cost, agreed amount); §11.4 (builder's risk not less than the full Renovation Budget, with waiver of subrogation, soft cost and expediting coverage); §11.4 permits termination of builder's risk on Substantial Completion only if property coverage is then in force for the completed work.

Recommendation: Confirm the carrier will write both placements without a coinsurance or "other insurance" conflict, and that the Contractor's own builder's risk policy (if any) is coordinated rather than duplicated. Obtain a waiver of subrogation against Lender and Borrower from the Contractor's carriers.

G-3. The two environmental and valuation reports identify different FEMA panels.

Record basis: Phase I §2 (Panel No. 45019C0520J, effective December 4, 2020); Appraisal §2.1 (Panel No. 45019C0418J, effective November 4, 2014).

Draft treatment: §11.3 deliberately does not name a panel number, so the Mortgage does not lock in an incorrect determination.

Recommendation: Obtain a current flood determination from the insurance provider or a flood zone determination service before closing and correct the credit file. The zone conclusion (X) is consistent across both documents; only the panel identification differs.

H. Financial reporting and covenants

H-1. The audited financial statement requirement conflicts with the Operating Agreement's reporting standard.

Record basis: Term Sheet §7.3(a) (annual audited statements within 120 days); OA Summary §6.2 (annual statements "reviewed (but not audited)" by an independent CPA within 90 days).

Analysis: Borrower is a single-asset, single-purpose LLC whose Operating Agreement and member arrangements contemplate reviewed statements. If the loan documents require audited statements and the company's governing document and member agreements provide only reviewed, Borrower will be in default under §16.1(b) every year unless it voluntarily upgrades its audit standard at its own cost.

Draft treatment: §13.3(a) follows the Term Sheet and requires audited statements; §13.3(b) requires Guarantor's personal financial statement; §13.4 requires a compliance certificate.

Recommendation: Confirm whether Lender will accept annual reviewed statements (with an audit right on request) for a single-asset SPE. If audited statements are required, the requirement should be reflected in the Operating Agreement Amendment and priced into the borrower's closing costs. This is the sort of covenant that is harmless at closing and becomes an avoidable default at the first reporting date.

H-2. The net worth and liquidity covenant is attributed to Borrower in the Term Sheet and to Guarantor in the markup notes.

Record basis: Term Sheet §7.2 ("Borrower shall maintain at all times… net worth of not less than $1,000,000… liquid assets… not less than $500,000"); Prior Counsel Notes §6 ("Guarantor minimum net worth of not less than $1,000,000… Guarantor minimum liquid assets of not less than $500,000").

Analysis: We followed the Term Sheet (§13.2 applies the covenants to Borrower). If the intent was to impose them on Guarantor, the thresholds are not meaningful: Guarantor's stated net worth is $28,000,000. A $1,000,000 net worth floor for a guarantor of a $14,750,000 loan is a covenant in form only.

Draft treatment: §13.2 (Borrower), tested annually against the statements delivered under §13.3; the definition of liquid assets follows the Term Sheet (cash, cash equivalents, marketable securities, unencumbered deposits at federally insured institutions).

Recommendation: Confirm the intended obligor. If the covenant is meant to constrain Guarantor, we recommend a threshold consistent with a $14,750,000 guaranty (for example, net worth of at least $15,000,000 and liquid assets of at least $2,000,000), tested annually with a certificate.

H-3. The DSCR test date is stated inconsistently in three documents.

Record basis: Term Sheet §7.1 ("testing shall commence twenty-four (24) months after the date of closing, with the first test date to be the first full calendar quarter ending after the twenty-fourth month following closing (anticipated to be approximately July 15, 2027, for the quarter ending June 30, 2027)"); Prior Counsel Notes §6 ("beginning 24 months post-closing (first test date April 15, 2027)"); Rent Roll, Summary tab ("DSCR Covenant Testing Commencement: April 15, 2027 (Month 24 post-closing)").

Analysis: Closing on April 15, 2025 plus 24 months is April 15, 2027. The first full calendar quarter ending after that date is the quarter ending June 30, 2027; the Term Sheet's own parenthetical anticipates a test around July 15, 2027 for that quarter. The markup notes and the rent roll both say April 15, 2027, which is the end of the interest-only period, not the end of a calendar quarter. The Term Sheet is the executed instrument, so we followed it, but note a second, smaller inconsistency inside it: the phrase "first test date" and the parenthetical "approximately July 15, 2027" describe a determination date, while the test is measured as of the quarter ending June 30, 2027. There is a further timing point: quarterly rent rolls are due 30 days after quarter end (July 30, 2027), which is later than the July 15 date anticipated in the Term Sheet.

Draft treatment: §13.1(a) fixes the DSCR Test Date as the last day of each calendar quarter beginning with the quarter ending June 30, 2027; §13.4 ties the compliance certificate to the financial statement delivery dates; §13.5 gives Borrower 30 days after the compliance certificate due date to fund a cure deposit. The definition avoids reliance on a separate "test date" concept that could be read as a determination date.

Recommendation: Confirm the intended first test date with you and with the servicing group, and align the credit approval memo and the loan system to the loan documents. If the intent was April 15, 2027 (as the markup notes state), the draft must be changed, because the difference is one full quarter of covenant exposure immediately following the end of the interest-only period.

H-4. Reporting obligations are otherwise consistent with the Term Sheet.

Record basis: Term Sheet §7.3(a)–(e).

Draft treatment: §13.3(a)–(g) tracks the Term Sheet (audited financials within 120 days; Guarantor personal financial statement within 120 days of calendar year end; quarterly certified rent rolls within 30 days; annual operating statements with budget comparison within 120 days; leases and modifications within 10 business days) and adds a compliance certificate, a tax and insurance document covenant, and a catch-all information right.

Recommendation: None, other than Issue H-1.

I. Transfer restrictions and change of control

I-1. The "transfers among existing members" carve-out in the Term Sheet could permit a change of control without Lender consent.

Record basis: Term Sheet §10.3 (no transfer of ownership interests exceeding 10% individually or 25% in the aggregate without consent, "except for transfers among the existing members of Borrower"); OA Summary §§4.1, 4.2, 4.3, 4.4.

Analysis: Read literally, the exception permits GDG to transfer its entire 72% interest to Tidewater or Harborline (a transfer "among the existing members") without Lender consent — converting the guarantor-controlled borrower into a fund-controlled borrower and defeating the non-recourse carve-out structure that depends on Graydon's incentives. The Operating Agreement does not fill the gap: Section 4.1 restricts transfers of membership interests but requires 75% approval calculated excluding the transferring member, Section 4.2(c) permits Tidewater to transfer to a "successor fund" without any consent, and Section 4.2 expressly does not address upstream changes in the ownership or control of any Member.

Draft treatment: §10.2(b)(iii) narrows the carve-out to transfers among existing Members that do not increase the GDG/Graydon aggregate interest above 72%, do not reduce GDG below 51%, do not result in any person other than GDG serving as Managing Member, and do not otherwise change control; §10.2(c) brings indirect and upstream changes within the consent requirement, including transfers of interests in GDG, replacement of Tidewater's general partner, and "successor fund" transfers; §10.2(e) makes a violation void ab initio and an Event of Default with no cure period (§16.1(k), §16.2(c)); §18.2(e) makes it a full-recourse carve-out.

Recommendation: **This is a deliberate narrowing of an executed commercial term and requires your approval.** The Term Sheet permits Lender to require additional provisions that are "not materially inconsistent" with its terms (§14.4); a transfer covenant that captures change of control is standard in non-recourse lending and, in our view, is consistent with the Term Sheet's evident purpose (protecting the Guarantor's control), but it is more restrictive than the literal carve-out and borrower's counsel will notice. Raise it with Marcus before the draft goes out.

I-2. Upstream transfers are the real risk, not transfers of membership interests.

Record basis: OA Summary §4.2 (illustrations: Mr. Graydon could sell his interest in GDG; Tidewater GP Holdings LLC could be acquired or replaced; Harborline's internal membership could change entirely — none of which would be a transfer of a membership interest in the Company); §4.5 (Affiliate definition).

Analysis: Because the SPE structure and the guaranty both depend on who controls GDG, an indirect change of control is functionally identical to a direct transfer of interests.

Draft treatment: §10.2(c) covers any change of control of a Controlling Member; §9.13(f) requires notice of any change in the identity of any Member, the Managing Member, the general partner of any Member, or any manager or officer of Borrower.

Recommendation: Require the Operating Agreement Amendment to add a parallel change-of-control restriction at the Member level — the Operating Agreement as delivered has none, and a loan-document-only restriction leaves the organizational documents silent (and potentially in conflict).

J. Credit, regulatory and closing-mechanics issues

J-1. As-is LTV of 81.04% requires documented credit approval of an exception, if one is required.

Record basis: Term Sheet §§3.5, 12.1(d), 14.4; Prior Counsel Notes — Closing Notes ("the as-is LTV runs a little hot… coordinate with Marcus on whether the bank's loan committee or board has approved any exceptions to standard underwriting guidelines").

Draft treatment: §20.1(g) conditions the initial advance on "evidence of Lender's credit approval of the Loan and of any exception to Lender's underwriting guidelines approved by Lender's loan committee or board of directors."

Recommendation: Obtain the credit approval and the exception documentation before the initial advance. This is a file-completeness item that regulators examine first.

J-2. Appraisal and evaluation compliance is a prerequisite, not a formality.

Record basis: Term Sheet §§2.4, 12.1(d) (USPAP and FIRREA Title XI compliance); Appraisal certifications (§9) and limiting conditions (§8).

Analysis: The appraisal in the file is a summary report, is addressed to Lender, and contains the customary certifications (including statement of no contingent compensation and personal inspection). Its internal inconsistency (Issue E-2) is a separate matter from its conformity, but a review would address both.

Draft treatment: §20.1(g) requires a satisfactory appraisal conforming to USPAP and FIRREA supporting both value conclusions.

Recommendation: Obtain the complete appraisal report (not the summary), confirm the appraiser's independence and State certification (SC-CGA-04817), and order the review (Issue E-2).

J-3. The Phase II waiver should be documented in the credit file.

Record basis: Phase I §6 note (waiver documented in correspondence dated January 22, 2025 between Mr. Prideaux and Clearfield).

Draft treatment: §12.3 states that the waiver does not constitute a representation as to environmental condition.

Recommendation: Place the January 22, 2025 correspondence in the credit file with the Phase I report.

J-4. Closing mechanics: deed and Mortgage must record concurrently, and the acknowledgment form must satisfy the recording office.

Record basis: Title Commitment Requirement 2 (deed from Hampstead Village Holdings LLC to Borrower) and Requirement 3 (recording of the Mortgage); Term Sheet §12.1(b) (title showing fee simple vested in Borrower).

Analysis: Borrower does not yet own the Property. The Mortgage cannot attach until the deed is recorded, and the Title Policy cannot issue in the form contemplated until both instruments are recorded. The Draft Mortgage is dated as of the Closing Date and the signature block is undated (with a date line), so that it can be executed and dated on the actual closing date.

Draft treatment: §20.1(b) requires concurrent recording; the acknowledgment uses a South Carolina notarial certificate with two witness lines and no date filled in; §22.13 requires an original executed and notarized counterpart for recording.

Recommendation: Confirm with Prestige Title (i) the required acknowledgment form and whether subscribing witnesses are required for acceptance by the Charleston County RMC, (ii) the recording order and gap mechanics, (iii) whether a derivation or recording cover sheet is required, and (iv) the final recording fee on $14,750,000 ($54,575 computed). We have used a standard South Carolina form with witness lines; a title company's own form should be substituted if it differs. Note also that the Term Sheet §13.2(f) reference to "documentary stamp taxes imposed by the State of South Carolina" should be understood, and reconciled with the closing statement, as the South Carolina deed recording fee computed at $1.85 per $500 of value (0.37%, or $54,575 on $14,750,000); South Carolina does not impose a separate documentary stamp tax on mortgages. Section 22.9 of the Draft Mortgage uses the Term Sheet's language while stating the computed amount, and should be conformed if the closing agent's computation differs.

K. Consistency of the Loan Document set

K-1. The Term Sheet's document list and the Guarantor acknowledgment do not match.

Record basis: Term Sheet §14.3(a)–(g) (Promissory Note; Mortgage and Security Agreement; Assignment of Leases and Rents if separate; Environmental Indemnity

Agreement; Guaranty Agreement; UCC-1; other documents) versus the Guarantor Acknowledgment (Guaranty Agreement, Completion Guaranty, Payment Guaranty, Environmental Indemnity Agreement and "all other guarantor documents"), and §§5.2 and 5.5 which contemplate three guaranty instruments.

Draft treatment: §19.1 refers to the Guaranty, the Completion Guaranty and the Payment Guaranty as separate instruments; §19.3 refers to the UCC-1 and the fixture filing (the Term Sheet §5.3 mentions only the Secretary of State filing, while your markup notes require both); the assignment of leases and rents is incorporated in the Mortgage under Article 3 rather than executed separately.

Recommendation: Fix the document list in the closing checklist and the Term Sheet schedule, and decide whether the three guaranties will be documented as one instrument with three components or three separate instruments. The Draft Mortgage's definitions assume three, which matches §5.5.

K-2. The "as-extracted collateral" reference in Term Sheet §5.3 has no application.

Record basis: Term Sheet §5.3 (UCC-1 covering "all personal property collateral, fixtures, and as-extracted collateral (if any)").

Analysis: No mineral interests, oil and gas interests or timber are identified anywhere in the record, and the Property is an improved urban commercial building. We have not created an as-extracted collateral category.

Draft treatment: §2.1 describes the Collateral comprehensively without an as-extracted category; §19.3 requires a UCC-1 covering the Personal Property Collateral and a fixture filing.

Recommendation: State the item as inapplicable in the closing checklist rather than leaving it unaddressed.

PART V — VERIFICATION SCHEDULE OF RECOMPUTED FIGURES

Each figure used in the Draft Mortgage or relied on in this memorandum was recomputed from its components. "Stated" means the figure as it appears in the source; "Recomputed" is our independent calculation.

#	Figure	Source and location	Stated	Recomputed	Difference	Conclusion
1	Loan amount = initial advance + Holdback	Term Sheet §§3.1, 3.3	$14,750,000	$12,500,000 + $2,250,000 = $14,750,000	0	Confirmed
2	Renovation Budget	Term Sheet §§3.4, 8.2; Ex. B	$3,150,000	$1,200,000 + $475,000 + $625,000 + $550,000 + $300,000	0	Confirmed
3	Holdback + Borrower renovation equity	Term Sheet §3.3; Ex. B	$3,150,000	$2,250,000 + $900,000	0	Confirmed
4	Construction Contract + soft costs	Term Sheet §§3.4, 8.1	$3,150,000	$2,850,000 + $300,000	0	Confirmed
5	Total Project Cost	Term Sheet §3.4	$20,950,000	$17,800,000 + $3,150,000	0	Confirmed; excludes transaction costs (E-3)

#	Figure	Source and location	Stated	Recomputed	Difference	Conclusion
6	Borrower equity percentage	Term Sheet §3.4	29.6%	$6,200,000 ÷ $20,950,000 = 29.59%	0.01 pt	Confirmed
7	LTV as-is	Term Sheet §3.5; Appraisal §7	81.04%	$14,750,000 ÷ $18,200,000 = 81.04%	0	Confirmed
8	LTV as-stabilized	Term Sheet §3.5; Appraisal §7	62.77%	$14,750,000 ÷ $23,500,000 = 62.77%	0	Confirmed
9	Loan-to-cost	Term Sheet §3.5	70.41%	$14,750,000 ÷ $20,950,000 = 70.41%	0	Confirmed
10	Annual in-place rent at stated rates	Term Sheet §2.3; Appraisal §3.1; Rent Roll	$415,100	$108,300 + $91,200 + $215,600	0	Arithmetic confirmed; rents stale (C-6)
11	Annual in-place rent at closing, escalated	Rent Roll, Lease Abstracts (escalation schedules)	(not stated)	$111,549 + $95,817 + $215,600 = **$422,966**	**+ $7,866** vs stated	Term Sheet and rent roll understate in-place rent by 1.9%
12	Occupancy by area	Term Sheet §2.3; Appraisal §§1, 3.1	68% (21,400 SF)	$17,400 ÷ 31,000 = **56.13%**	**–11.87 pts**	Stated figure incorrect; 21,400 SF unsupported
13	Vacancy by area	Term Sheet §2.3 (43.9%); Appraisal §3.1 (32%)	43.9% / 32%	13,600 ÷ 31,000 = **43.87%**	0 / **–11.87 pts**	Term Sheet figure correct; Appraisal figure incorrect
14	Weighted average in-place rent/SF	Appraisal §3.1	$19.40	$415,100 ÷ 17,400 = **$23.86**	**+ $4.46**	Appraisal figure computed on erroneous area
15	Security deposits held	Rent Roll, Summary	$69,183	$18,050 + $15,200 + $35,933	0	Confirmed
16	Tenant pro rata shares	Rent Roll, Lease Abstracts	12.26% / 31.61%	3,800 ÷ 31,000; 9,800 ÷ 31,000	0	Confirmed
17	Capital replacement reserve	Term Sheet §6.2	$645.83/mo	($0.25 × 31,000) ÷ 12 = $645.833	0	Confirmed
18	Origination fee	Term Sheet §13.1	$147,500	1.00% × $14,750,000	0	Confirmed
19	SC mortgage recording fee	Prior Counsel Notes §6	$54,575	0.37% × $14,750,000; also $3.70 × 14,750 per $1,000	0	Confirmed
20	Monthly P&I, months 25–60	Rent Roll, Vacancy Schedule	$93,500	$14,750,000 at 5.85%, 300 months = **$93,686.61**	**+ $186.61/mo**	Workbook understates
21	Annual debt service, months 25–60	Rent Roll, Vacancy Schedule	$1,122,000	**$1,124,239**	**+ $2,239**	Workbook understates
22	Annual interest, interest-only period	Rent Roll, Vacancy Schedule	$863,375	5.85% × $14,750,000 = **$862,875**	**–$500**	Workbook overstates
23	DSCR, stabilized best case, amortizing	Rent Roll, Vacancy Schedule	0.555x	$622,772 ÷ $1,124,239 = **0.554x**	0.001x	Confirmed; fails 1.25x covenant (E-1)
24	DSCR, stabilized best case, interest-only	Rent Roll, Vacancy Schedule	0.72x	$622,772 ÷ $862,875 = **0.722x**	0	Confirmed; fails 1.25x covenant
25	NOI required for 1.25x (amortizing)	Derived	(not stated)	**$1,405,299** = **$45.33/SF** on 31,000 SF	—	Market rents are $19.00–$32.00/SF; covenant unachievable
26	Maximum DSCR at 100% occupancy, zero expenses	Derived from Rent Roll stabilized rents	(not stated)	$755,549 ÷ $1,124,239 = **0.672x**	—	Covenant unachievable at any occupancy
27	Implied cap rate, as-is value	Appraisal §§6.2, 7	6.25%	$338,500 ÷ $18,200,000 = **1.86%**	**–4.39 pts**	Appraisal internally inconsistent (E-2)

#	Figure	Source and location	Stated	Recomputed	Difference	Conclusion
28	Implied cap rate, stabilized value	Appraisal §§6.3, 7	5.85%	$587,000 ÷ $23,500,000 = **2.50%**	**–3.35 pts**	Appraisal internally inconsistent
29	Value implied by stated cap rates and stated NOI	Appraisal §§6.2, 6.3	$18,200,000 / $23,500,000	$5,420,000 / $10,034,000	**– $12.78 M / – $13.47 M**	Cannot reconcile; appraisal review required
30	Value per square foot	Appraisal §§4, 6	$587 / $758	$18,200,000 ÷ 31,000; $23,500,000 ÷ 31,000	0	As-is consistent with comparables ($550–$620); stabilized exceeds them
31	Draw schedule total (all sources)	Renovation Budget and Draw Schedule	$3,150,000	**$3,155,000**	**+ $5,000**	Schedule over budget (F-1)
32	Borrower equity per draw schedule	Same	$900,000	**$905,000**	**+ $5,000**	Overcommitted; final row shows – $5,000
33	Line-item variances (HVAC / Elevator / TI / Soft)	Same	$0	+$50,000 / –$50,000 / +$10,000 / –$5,000	Net + $5,000	Reallocation between line items
34	Retainage ceiling before substantial completion	Term Sheet §8.4; draw schedule	$2,250,000 drawn by Month 14	90% ceiling = **$2,025,000**; schedule reaches $2,235,000 by Month 13	**+ $210,000**	Schedule ignores retainage (F-2)
35	Sources and uses shortfall at closing	Term Sheet §§3.3, 3.4, 13.1, 6.3	Balance ($20,950,000 / $20,950,000)	Identifiable unfunded costs **$352,075** (origination $147,500 + recording $54,575 + TI/LC reserve $150,000)	**– $352,075**	Gap before title, survey, appraisal, legal (E-3)
36	Interest-shortfall guaranty coverage vs first DSCR test	Term Sheet §§5.5(c), 7.1	14 months (to June 15, 2026)	First test quarter ends June 30, 2027	**~12.5 months unsupported**	Extend or fund reserve (E-8)
37	Payment dates / amortization	Term Sheet §§3.9, 3.10, 3.8	24 IO + amortizing to maturity	24 payments May 15, 2025 – April 15, 2027; 36 payments May 15, 2027 – April 15, 2030 = 60	0	Confirmed
38	Prepayment period boundaries	Term Sheet §§4.1–4.3	Months 1–24; 25–48; 49–60	April 15, 2027; April 15, 2029; April 16, 2029 – April 15, 2030	0	Confirmed
39	Substantial Completion Deadline	Term Sheet §8.3	June 15, 2026	April 15, 2025 + 14 months = June 15, 2026	0	Confirmed
40	Member capital contribution split	OA Summary §2.2	$6,200,000	72% / 18% / 10% = $4,464,000 / $1,116,000 / $620,000	0	Confirmed

PART VI — SOURCE CONFLICTS REQUIRING RESOLUTION

The following inconsistencies appear within or among the source documents. Each has been resolved in the Draft Mortgage in the manner stated, or flagged as an open item.

#	Topic	Position A	Position B	Resolution in Draft Mortgage	Status
1	Occupancy	68% (Term Sheet §2.3; Appraisal §§1, 3.1)	56.13% (Rent Roll, Summary)	No occupancy figure recited; certified rent roll required (§§8.4, 13.3(c))	Resolve against certified rent roll (C-6)
2	Occupied square footage	21,400 SF (Appraisal §§1, 3.1)	17,400 SF (Rent Roll)	Not recited	Appraisal error; correct the file (C-6)
3	Vacancy percentage	43.9% (Term Sheet §2.3)	32% (Appraisal §3.1)	Not recited	Term Sheet correct (C-6)
4	"Current" base rent vs escalation schedule	$28.50 / $24.00 (Rent Roll, Summary "Current")	$29.36 from 1/1/2025 / $25.22 from 7/1/2024 (Rent Roll, Lease Abstracts)	Exhibit D states base rents with escalation detail in notes	Escalated figures govern under the Leases (C-6)
5	Guaranty nature	"Full recourse personal guaranty" (Term Sheet §5.5)	"Non-recourse … except carve-outs … springing full recourse" (Term Sheet §5.5(a))	Non-recourse with carve-outs (Art. 18) plus three guaranties (§19.1)	**Confirm with Lender (E-9)**
6	Number of guaranty instruments	One "Guaranty Agreement" (Term Sheet §14.3)	Guaranty + Completion Guaranty + Payment Guaranty (Term Sheet §5.5, acknowledgment)	Three instruments (§19.1)	Confirm and conform document list (K-1)
7	Net worth/liquidity covenant obligor	Borrower (Term Sheet §7.2)	Guarantor (Prior Counsel Notes §6)	Borrower (§13.2)	**Confirm (H-2)**
8	DSCR test commencement	Quarter ending June 30, 2027 (Term Sheet §7.1)	April 15, 2027 (Prior Counsel Notes §6; Rent Roll, Summary)	Quarter ending June 30, 2027 (§13.1(a))	**Confirm (H-3)**
9	Yield maintenance formula	Greater of 1.00% or PV differential, 50 bps added to Treasury rate (Term Sheet §4.2)	PV of remaining payments less principal, zero floor, 50 bps added to loan rate (Prior Counsel Notes §5)	Term Sheet structure, precise mechanics (§§5.8, 5.9)	**Confirm (E-4)**
10	Prepayment during lockout	Prohibited (Term Sheet §4.1)	"Subject to a prepayment premium as described in Section 4.2" (Term Sheet §4.1), which applies only post-lockout (§4.2)	Prohibited; if accepted, premium as at last day of lockout (§5.7)	Confirm (E-5)
11	Registered agent	Capitol Registered Agents Inc. (Term Sheet §1.2)	Statehouse Registered Agents, Inc. (OA Summary §1.3)	Not named in Mortgage; notice covenants (§§9.13(g), 10.6)	Confirm with Secretary of State (D-4)
12	FEMA panel	45019C0520J, eff. 12/04/2020 (Phase I §2)	45019C0418J, eff. 11/04/2014 (Appraisal §2.1)	Panel not identified; Zone X stated (§11.3)	Obtain current determination (G-3)
13	Encroachment endorsement	ALTA 9 or equivalent (Prior Counsel Notes §2)	ALTA 28.1 or equivalent (Title Commitment Exception 5 and Closer Note 2)	§4.4 and §20.1(c) require endorsements without naming forms	Request ALTA 28.1 plus ALTA 9 (A-3)
14	UCC filings	Secretary of State only (Term Sheet §5.3)	Secretary of State and Charleston County fixture filing (Prior Counsel Notes §6)	Both required (§19.3)	Confirmed approach (K-1)
15	Utility easement location	"Westerly boundary of Lot 9" (Title Commitment Exception 3)	"Across the rear of the Subject Property" (Phase I §2)	Described by record reference only (Ex. B item 2)	Survey to reconcile (A-5)

#	Topic	Position A	Position B	Resolution in Draft Mortgage	Status
16	Financial statement standard	Audited annual statements (Term Sheet §7.3(a))	Reviewed annual statements (OA Summary §6.2)	Audited (§13.3(a))	**Confirm (H-1)**
17	Vapor barrier inspection	Recommended before or promptly after acquisition (Phase I §5.3, 6(b))	Not a condition precedent (Term Sheet §12.1)	Covenanted; not a closing condition (§12.2(c))	Recommend adding (B-2)
18	Phase II ESA	Not recommended (Phase I §6)	Waived by Lender, documented by correspondence dated 1/22/2025 (Phase I §6 note)	§12.3 preserves Lender's position	File the correspondence (J-3)

PART VII — OPEN ITEMS

A. Instructions required from Lender before the draft is released to Borrower's counsel

1. **DSCR structure (E-1).** Which mitigation package is approved: loan amount reduction, extended interest-only period, interest-only DSCR test at a lower threshold, debt service reserve, cash sweep, or a combination? The covenant as drafted will produce a default; we should not send a document we expect to be breached. *Owner: Mr. Prideaux; before April 1 delivery.*

2. **Appraisal review (E-2, J-2).** Authorize a USPAP Standard 3 review and require the appraiser to reconcile the income approach to the rent roll. *Owner: Mr. Prideaux / credit.*

3. **Guaranty structure and duration (E-8, E-9).** Confirm whether the Guaranty is a full payment guaranty or a carve-out guaranty, whether the three instruments are separate, and whether the interest-shortfall guaranty extends beyond 14 months. *Owner: Mr. Prideaux.*

4. **Transfer covenant (I-1).** Approve the narrowing of the Term Sheet's "transfers among existing members" carve-out and the addition of an indirect/upstream change-of-control restriction. *Owner: Mr. Prideaux.*

5. **Yield maintenance (E-4).** Confirm the 50 basis point treatment and retention of the 1.00% floor. *Owner: Mr. Prideaux.*

6. **Prepayment in lockout (E-5) and casualty/condemnation carve-out.** Confirm.

7. **Interest mechanics (E-6).** Confirm actual/360 daily accrual and the successor-rate mechanism.

8. **Flood insurance (G-1).** Confirm the $5,000,000 requirement and obtain a current flood determination.

9. **Net worth/liquidity obligor and thresholds (H-2).** Confirm Borrower or Guarantor and, if Guarantor, approve re-cut thresholds.

10. **Audited financial statements (H-1).** Confirm whether reviewed statements are acceptable for this single-asset SPE.

11. **First DSCR test date (H-3).** Confirm quarter ending June 30, 2027 (as drafted) or April 15, 2027 (as in prior markup notes and the rent roll).

12. **Late charge, default rate and usury confirmation (E-7).** Confirm with South Carolina counsel.

13. **LUR cure treatment (B-1).** Approve the split between no-cure and notice-and-cure defaults.

14. **Credit approval and LTV exception (J-1).** Provide the loan committee approval and any exception documentation for the file.

B. Documents and confirmations to obtain before closing

15. Certified rent roll as of the closing date, reconciled to the Leases including escalations (Schedule D-1). *(C-6)*

16. Re-certified renovation draw schedule reflecting retainage and reconciling to the Renovation Budget; Schedule C-1. *(F-1, F-2)*

17. Certified ALTA/NSPS survey with metes and bounds, to insert in Exhibit A before execution. *(A-2)*

18. Written confirmation from Prestige Title on Parcel Two fee simple insurance, endorsement availability (ALTA 34/28.1), recording order, acknowledgment form and final recording fee. *(A-1, A-3, J-4)*

19. Date-down endorsement, gap indemnity and owner's affidavits; commitment extension if closing slips past August 28, 2025. *(A-4)*

20. Full Phase I report with appendices, plus a reliance letter naming Lender and Borrower. *(B-3)*

21. Full unredacted Operating Agreement, the March 1, 2025 amendment, and an executed Operating Agreement Amendment signed by all three Members. *(D-1)*

22. Omnibus written consent of all Members authorizing the Loan and all Loan Documents; Tidewater GP Holdings LLC authorization certificate. *(D-2, D-3)*

23. Estoppel certificates and SNDAs from all three tenants, or a written specific waiver under §20.3. *(C-2)*

24. The three Leases and all amendments; the purchase and sale contract; the Construction Contract with all amendments and change orders. *(C-2, F-4, Part II)*

25. Complete appraisal report and the Standard 3 review. *(E-2)*

26. Baseline vapor barrier inspection report, or a post-closing covenant with a Holdback reserve. *(B-2)*

27. Sources and uses statement with evidence of Borrower's funds; confirmation of the additional equity required. *(E-3)*

28. Current Standard Flood Hazard Determination; insurance certificates and mortgagee endorsements for all coverages. *(G-1, G-3)*

29. Written confirmation from Borrower that the Harmon & Wren early termination right has lapsed, and a Bay 2 leasing plan accounting for the ROFR. *(C-3)*

30. Borrower's counsel's legal opinion, including as to member authorization under Operating Agreement §3.2(ii). *(D-2)*

31. Current registered agent confirmation from the Secretary of State. *(D-4)*

32. January 22, 2025 Phase II waiver correspondence for the credit file. *(J-3, B-3)*

PART VIII — CLOSING CONDITIONS CHECKLIST (TERM SHEET §12.1 MAPPED TO DRAFT MORTGAGE §20.1)

Term Sheet §12.1	Condition	Draft Mortgage	Status in the record
(a)	Execution and delivery of all Loan Documents	§20.1(a)	Draft Mortgage complete; Note, Guaranties, Environmental Indemnity not in file
(b)	Satisfactory title commitment/pro forma policy, fee simple in Borrower, first-priority lien of $14,750,000	§20.1(c)	Commitment in file; Policy, date-down, gap indemnity and endorsements outstanding
(c)	Satisfactory Phase I ESA (Report No. CLR-2025-0119), no RECs requiring remediation	§20.1(f)	Executive summary only; full report and reliance letter outstanding
(d)	Satisfactory appraisal (USPAP/FIRREA), supporting as-is and as-stabilized values	§20.1(g)	Summary only; income approach unreconciled (E-2)
(e)	Current ALTA/NSPS survey licensed in South Carolina	§20.1(d)	Survey not in file; legal description placeholder (A-2)
(f)	Evidence of all insurance, certificates naming Lender	§20.1(h); Art. 11	Not in file
(g)	Organizational documents, good standing	§20.1(i)	Redacted summary only; certificate of good standing not in file
(h)	Legal opinions (organization, authorization, enforceability, no conflicts)	§20.1(j)	Not in file; add §3.2(ii) authorization (D-2)
(i)	Payment of origination fee, closing costs, Lender's legal fees	§20.1(k); §22.9	Funding gap identified (E-3)
(j)	Estoppel certificates from all existing tenants, dated within 30 days	§3.5; §20.1(l)	Lowcountry has no estoppel obligation (C-2)
(k)	Executed SNDAs from all existing tenants	§3.5; §20.1(l)	Lowcountry has no SNDA provision (C-2)
(l)	Complete executed Construction Contract with amendments	§20.1(m); §7.1(d)	Not in file
(m)	Borrower equity contribution of $6,200,000 or evidence of funding	§20.1(n)	Requires sources and uses statement; shortfall (E-3)

Term Sheet §12.1	Condition	Draft Mortgage	Status in the record
(n)	Such other documents as Lender may reasonably require	§20.1(o)	Includes Operating Agreement Amendment, Members' Consent, vapor barrier report, flood determination
—	Additional conditions added in the Draft Mortgage	§§20.1(b), (c), (e)	Concurrent recording of deed and Mortgage; gap indemnity; standard exception deletion; endorsement package; credit approval evidence

PART IX — DRAFTING CONVENTIONS, ASSUMPTIONS AND SCOPE LIMITS

Conventions. The Draft Mortgage uses 23 articles, 174 numbered sections and five exhibits, with manual numbering so that cross-references are stable and verifiable; every internal cross-reference has been checked programmatically against the section list. Defined terms are used consistently and are collected in §1.1. Obligations are drafted in the covenant-format ("Borrower shall…"), and remedies are drafted as Lender-protective but subject to a non-waivable-rights savings clause (§17.9).

Assumptions made in drafting. (a) The Mortgage is dated April 15, 2025, the anticipated closing date in Term Sheet §3.8, and defines "Closing Date" so that a conformed date may be inserted; (b) the assignment of leases and rents is incorporated in the Mortgage rather than executed separately, per the Term Sheet's election and the markup notes; (c) South Carolina law governs, the Mortgage grants no power of sale, and foreclosure is judicial (§17.1); (d) interest accrues actual/360 on Daily SOFR with a 3.00% floor (§5.2); (e) the Treasury Rate for yield maintenance is the interpolated H.15 constant maturity yield (§5.9(b)); (f) the Guaranty, Completion Guaranty and Payment Guaranty are three separate instruments (§19.1); (g) the notarial acknowledgment is a South Carolina certificate with two witness lines, subject to confirmation with the title company (J-4); (h) the statutory citation for the Uniform Assignment of Rents Act is carried as cited in the markup notes and should be verified (C-1); (i) Institutional controls described in Exhibit E are taken from the Phase I executive summary and the title commitment, not from the recorded LUR itself.

Matters not covered by this deliverable. No Promissory Note, Guaranty, Completion Guaranty, Payment Guaranty, Environmental Indemnity, Operating Agreement Amendment, separate Assignment of Leases and Rents, UCC-1 or fixture filing forms, tenant estoppel or SNDA forms, or closing checklist instrument forms are included. We have not rendered any opinion on: value; the enforceability of the yield maintenance premium, default rate or late charge under South Carolina law; the maximum lawful rate of interest; the sufficiency of the Phase I report for all appropriate inquiries purposes; the sufficiency of the title commitment or survey; or tax consequences, including the South Carolina recording fee treatment of future advances. Each of those items requires separate confirmation, and the relevant open items are identified above.

APPENDIX 1 — SOURCE-TO-ISSUE LOG (SELECTED PROPOSITIONS)

#	Proposition relied on	Source	Location	Where used
1	Loan of $14,750,000; $12,500,000 initial advance; $2,250,000 Holdback	Term Sheet	§§3.1, 3.3	§§1.1, 2.5, Art. 6–7, Ex. C
2	Purchase price $17,800,000; Total Project Cost $20,950,000; equity $6,200,000	Term Sheet	§§3.2, 3.4	Part III, Part V (E-3)
3	Daily SOFR + 2.85%, 3.00% floor; default rate + 5.00%	Term Sheet	§§3.6, 3.7	§§1.1, 5.2, 5.3
4	Lockout 24 months; yield maintenance months 25–48; open months 49–60	Term Sheet	§§4.1–4.3	§§1.1, 5.7–5.10
5	Absolute assignment of leases and rents; may be included in the Mortgage	Term Sheet; Markup Notes	§5.2; §3	Art. 3
6	Collateral description (a)–(h), including GC contract and reserves	Term Sheet	§5.1	§2.1
7	Non-recourse carve-outs (i)–(v)	Term Sheet	§5.5(a)	§18.2
8	Completion Guaranty; 14-month interest-shortfall guaranty	Term Sheet	§5.5(b), (c)	§§19.1, 18.3
9	Title Policy $14,750,000; Commitment No. PT-2025-04-1178; Permitted Exceptions; endorsements	Term Sheet; Title Commitment	§5.6; Sched. A	§§1.1, 20.1(c), Ex. B
10	Escrows: taxes/insurance 1/12; capital replacement $645.83; TI/LC $150,000 with 30-day replenishment; Holdback	Term Sheet	§§6.1–6.4	Art. 6
11	DSCR 1.25x with definitions to be set in Loan Documents; net worth/liquidity; reporting	Term Sheet	§7.1–7.3	§§13.1–13.4
12	Renovation: Contractor, budget, Substantial Completion June 15, 2026, draw conditions, 10% retainage	Term Sheet	§§8.1–8.4	Art. 7, Ex. C
13	Insurance: all-risk, CGL 2/5, flood $5,000,000, builder’s risk $3,150,000, WC, umbrella $5,000,000, A-:VII, 30-day notice	Term Sheet	§§9.1–9.5	Art. 11
14	SPE covenants (a)–(g); no subordinate financing; transfer restrictions; compliance; maintenance; leasing	Term Sheet	§§10.1–10.6	Arts. 9, 10, 14
15	Events of Default (a)–(l) and cure periods	Term Sheet	§§11.1, 11.2	§§16.1, 16.2
16	Conditions precedent (a)–(n)	Term Sheet	§12.1	§20.1
17	Fees and expenses; origination fee $147,500	Term Sheet	§§13.1, 13.2	§§20.1(k), 22.9
18	Governing law and venue (South Carolina; Charleston)	Term Sheet	§14.1	§§22.1, 22.2
19	Loan Document list	Term Sheet	§14.3	§19
20	Commitment expiration May 15, 2025	Term Sheet	§14.5	§20.1
21	Vesting in Hampstead Village Holdings LLC; deed to Borrower required	Title Commitment	Sched. A §3; Req. 2	§§8.3, 20.1(b)
22	Legal description (Lots 7–9; Anson Lane strip; Tax Map Nos.)	Title Commitment	Sched. A §4	Ex. A
23	Exceptions 2–7 (taxes, SCE&G easement, LUR, encroachment, tenants, plat matters)	Title Commitment	Sched. B-II	Ex. B
24	Anson Lane quitclaim; company reservations on coverage	Title Commitment	Chain Note 2; Closer Note 3	§4.5, Ex. A
25	LUR obligations; recommendation of LUR covenants and an Event of Default	Title Commitment; Phase I	Exception 4; Closer Note 1; Phase I §§5.3, 6	Art. 12, Ex. E

#	Proposition relied on	Source	Location	Where used
26	CREC, NFA date, Site ID, contaminants, remediation	Phase I	§§5.1–5.2	Ex. E, §12.2
27	Vapor barrier not inspected; recommend confirmation	Phase I	§5.3	§12.2(c)
28	No RECs/HRECs; no Phase II recommended; Lender waiver 1/22/2025	Phase I	§§4, 6, 7	§§8.5, 12.3
29	Membership 72/18/10; capital contributions; Major Decisions 75%; no independent manager; no separateness; amendment threshold; dissolution	OA Summary	§§2.1, 2.2, 3.1, 3.2, 8.1, 9.1	Arts. 14, 23; §§10.2, 13.2
30	Tidewater GP authority; Permitted Transfer to successor fund; no change-of-control provision	OA Summary	§§2.1, 4.2, 4.5	§§10.2(b)–(c), 23.1
31	Lease terms, escalations, options, ROFR, exclusives, estoppel/SNDA obligations, deposits	Rent Roll	Summary; Lease Abstracts	Ex. D; §§3.5, 9.6, 9.7, 13.3(c)
32	Occupancy, NOI, debt service, DSCR projections	Rent Roll	Summary; Vacancy Schedule	Part V (E-1)
33	Line-item budget, holdback/equity allocation, monthly draws	Renovation Budget	Budget Detail; Draw Schedule	Ex. C, §§7.2(e), 7.3
34	As-is/stabilized values; cap rates; NOI; comparables; flood zone; encroachment	Appraisal	§§1, 2.1, 3.1, 4, 6, 7	§§8.9, 13.1, 20.1(g)
35	Absolute assignment instruction; SPE deficiencies; yield maintenance formula; ALTA 9; mortgage tax; LTV policy concern	Markup Notes	§§3, 4, 5, 6	Arts. 3, 14; §§5.8–5.9, 20.1(g)

APPENDIX 2 — MAP OF THE DRAFT MORTGAGE

Article	Title	Principal Term Sheet source
1	Definitions and Interpretation	§§1–3, 5–14 (definitions)
2	Granting Clause and Collateral	§5.1
3	Absolute Assignment of Leases and Rents	§5.2
4	Title, Permitted Exceptions and Further Assurances	§§2.1, 5.6
5	Payment, Interest, Maturity and Prepayment	§§3.6–3.11, 4.1–4.3
6	Reserves and Escrows	§6.1–6.4
7	Renovation and Construction	§8.1–8.4
8	Representations and Warranties	§§3, 5, 10, 12
9	Affirmative Covenants	§§6, 7, 9, 10
10	Negative Covenants	§§10.1–10.6
11	Insurance	§9.1–9.5
12	Environmental Matters and Land Use Restriction	§12.1(c); Title Commitment Exception 4; Phase I §§5–6
13	Financial Covenants and Reporting	§7.1–7.3
14	Single-Purpose Entity and Separateness	§10.1
15	Casualty and Condemnation	§5.1(e); §9 (proceeds)
16	Events of Default	§11.1–11.2
17	Remedies	§14.1; Prior Counsel Notes §6 (no power of sale)
18	Non-Recourse and Recourse Carve-Outs	§5.5(a)
19	Other Loan Documents	§5.3–5.5, 14.3
20	Conditions Precedent to Advances	§12.1; §§6.4, 8.4

Article	Title	Principal Term Sheet source
21	Notices	§1.1–1.4 (parties)
22	Miscellaneous	§§13.2, 14.1–14.7
23	Members’ Consent; Guarantor’s Acknowledgment	§10.1(g); Guarantor Acknowledgment
Ex. A	Legal Description	§2.1; Title Commitment Sched. A §4
Ex. B	Permitted Exceptions	§5.6; Title Commitment Sched. B-II
Ex. C	Renovation Budget and Funding Allocation	§§3.4, 8.2; Ex. B
Ex. D	Schedule of Existing Leases	§2.3; Rent Roll
Ex. E	Land Use Restriction and Institutional Controls	Title Commitment Exception 4; Phase I §5.3

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